
Print version - Annual Report 2025

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Foreword

For the financial industry, 2025 was a profitable year. But it was no easy year. We saw accelerating digitalisation and increased geopolitical uncertainty. What did this mean for us as supervisors of the financial sector?



Source: Bafin/Matthias Sandmann

First of all, we needed to stay abreast of emerging and developing risks.

For example:

risks of contagion from international markets, weak commercial real estate markets, money laundering via crypto service providers, and, of course, cyberattacks. Also risks for consumers. For instance, we analysed the impact of influencers, chat groups and “buy now, pay later” loans.

Secondly, we took decisive supervisory action and imposed a lot of supervisory measures. We announced 151 of them on our website. We also participated in operations conducted by public prosecutors and law enforcement agencies targeting suspected cybercriminals. Looking ahead, it is clear that geopolitical uncertainties will put the financial system to the test.

That makes it all the more important that – thirdly – Bafin sets clear priorities and constantly evolves. And to this end, we have set ourselves ambitious new strategic goals. We are also bringing our ideas to bear at the national and at European level: we want strong rules to ensure a robust financial system, but also less bureaucracy, a greater focus on principles rather than rules, and more proportionality.

We are pleased to present our annual report for 2025. It summarises what we have achieved. What we have been working on. And what matters to us.

Namely, a stable and fair financial system that people can trust.

Risks, trends and strategic topics

Here you can find out which risks, longer-term trends and other key topics were the focus of Bafin's work in 2025.

Bafin's objectives

Vision and Mission

Learn more about Bafin's vision and mission.

The Federal Financial Supervisory Authority (Bafin) is committed to ensuring a stable and fair financial system that people in Germany can trust. This is summarised in Bafin's vision. In 2025, Bafin concluded the strategic period covering its medium-term objectives for the years 2022 to 2025.

At the same time, Bafin defined its objectives for the period 2026 to 2029. To this end, it reviewed and refined its previous objectives in light of current developments and the demands placed on Bafin as an integrated financial services supervisor. Based on these objectives, Bafin will continue to fulfil its statutory mandate effectively, decisively and with foresight.

Reducing complexity, promoting proportionality and risk orientation

Bafin is committed to promoting regulation and supervision that is less complex as well as more proportionate and risk-oriented – all without reducing the level of security. In Bafin's view, proportionate regulation is not lax, but rather more effective regulation. Bafin promotes this approach at three levels: in its administrative practice, at the national level and at the European level.

In 2025, Bafin again critically reviewed its administrative practice in order to selectively make use of the leeway it has in this area. For example, Bafin pushed ahead with the complete revision of its Minimum Requirements for Risk Management (MaRisk) for banks.

Since the end of 2024, Bafin has also been regularly submitting suggestions to the Federal Ministry of Finance (*Bundesministerium der Finanzen*) aimed at reducing bureaucracy in German and European law. Some of Bafin's ideas have already been incorporated into legislative proposals: for example, the elimination of the reporting system for large exposures and loans exceeding €1 million and the employee complaints register.

Together with the Deutsche Bundesbank, Bafin developed a concept for an EU-wide small banks regime that sparked discussion in EU regulatory circles. The reforms suggested by Bafin and the Bundesbank were also incorporated into a ↗ proposal by the Governing Council of the European Central Bank (ECB) for a simplified regulatory framework.

The aim of the small banks regime proposed by Bafin and the Bundesbank is to reduce the regulatory burden on smaller, non-complex banks with traditional business models. However, it does not involve any compromises on capital and liquidity buffers.

The core of the small banks regime is the elimination of relatively complex, risk-based capital requirements in favour of a simpler leverage ratio. As the sole capital requirement, it would be significantly higher than the Basel III minimum of 3% and ensure the availability of sufficient capital to absorb potential losses despite the simplification.

The proposal by Bafin and the Bundesbank is aimed at small banks with total assets of less than €10 billion. Participation in the regime is to be voluntary. Approximately 1,000 banks in Germany could qualify, many of which already hold significantly more capital than required by regulation.

AT A GLANCE

Risks in Bafin's Focus 2025

Bafin publishes an annual report titled Risks in Bafin's Focus that identifies the greatest risks to the integrity and stability of the German financial system. In line with the principle of risk-based supervision, Bafin then pays particular attention to these risks. Risks in Bafin's Focus also addresses key future risks and trends. In addition, Bafin explains what it is doing to contain these risks and how it is dealing with the trends identified.

The 2025 Annual Report highlights the measures taken by Bafin to address the risks and trends described in Risks in Bafin's Focus 2025.

Risks arising from significant corrections on the international financial markets

In the spring of 2025, the announcement of US tariffs caused significant price movements on international stock markets. This turbulence was quickly followed by periods of recovery, but volatility occurred repeatedly throughout the rest of the year. Risk factors such as international trade conflicts and political uncertainties may not have been fully priced into the high valuations on the stock markets in 2025.

There were warning signs on the bond markets in 2025. For instance, some government bond yields rose sharply over the course of the year. Long-term bonds, including 30-year US Treasuries, rose significantly in 2025. At the same time, the risk premiums (spreads) of corporate bonds over government bonds narrowed.

Close interconnections between NBFIs and conventional banks pose further market risks. For example, the insolvency of the US company First Brands resulted in a loss of confidence, causing significant price losses at some US regional banks.

Given this situation, Bafin identified supervised entities with high and risky financial market exposures in 2025 and assessed the risk of their exposures. In particular, it analysed their holdings of government bonds and their interconnectedness with NBFIs.

At the international level, Bafin participated in working groups of the FSB, the IOSCO and the ESRB in discussions regarding the globally interconnected NBFIs sector and, in particular, private credit.

In addition, Bafin supported German asset managers as they prepared to implement liquidity management tools (LMTs), which became mandatory for fund managers under [AIFMD II](#) and the [UCITS](#) Directive. With regard to life insurers, Bafin enhanced its forecasting capabilities. This enables supervisors to quickly assess how capital market changes affect the solvency of life insurers.

Risks caused by corporate loan defaults

The economic situation in Germany remained tense in 2025. After two years of recession, 2025 saw modest growth of only 0.2%. Trade tensions and high US tariffs hit export-oriented industries particularly hard. In addition, energy-intensive sectors faced significant cost pressures. These factors led to a 10.3% increase in company insolvencies compared with the previous year.

The increase in insolvencies was accompanied by an increase in the proportion of non-performing loans (NPLs) at German banks. For corporate loans, the NPL ratio stood at 3.8% in the third quarter of 2025. Institutions responded with higher risk premiums and stricter standards for new lending.

Globally, companies are increasingly turning to the private capital market to take on debt. The private debt market is experiencing strong growth worldwide, with private debt funds currently managing assets of approximately US\$2.5 trillion globally. However, Germany is not yet a particularly strong fund location in this segment. Stability risks may nevertheless arise, particularly through international contagion effects.

In December 2025, Bafin decided to maintain the countercyclical capital buffer, which has been in effect since February 2023, on all domestic risk exposures in order to strengthen the institutions' capital base. Bafin worked closely with institutions whose business models or client bases are particularly vulnerable to economic fluctuations or geopolitical crises.

In addition, Bafin intensified its targeted special inspections and impairment tests in the lending business. With regard to insurers and pension funds, Bafin monitored the private debt market, reviewed the risk management of alternative investments and analysed the interconnections between banks and NBFIs.

Risks arising from the commercial real estate markets

The German real estate market presented a mixed picture in 2025. While the residential real estate market continued to normalise, the situation in the commercial real estate market remained fragile. Although prices for office, retail and commercial residential properties have risen since the second quarter of 2024, values fell significantly between the second quarter of 2022 and the fourth quarter of 2025, with the decline in commercial residential properties now only moderate. Transaction volumes and new business in the commercial real estate sector remained at low levels in 2025.

The ratio of NPLs in commercial real estate (excluding commercial residential properties) and the corresponding NPL volume continued to rise steadily in 2025, although the pace slowed somewhat in the interim. At the same time, the valuations of corresponding loan collateral in portfolios fell, which is particularly problematic given the higher interest rates compared to the low-interest-rate phase, as this already increases refinancing risk.

In 2025, the market environment for retail real estate funds remained challenging. Continuous net cash outflows have been observed for retail real estate funds since August 2023. Individual retail real estate funds faced liquidity bottlenecks in 2025. Special real estate funds generally experienced net inflows in 2025. Nevertheless, in two cases German asset managers had to completely suspend the redemption of fund units.

In addition to the countercyclical capital buffer, the systemic risk buffer for private and commercial residential property loans introduced by Bafin in 2022 remained in force in 2025. As the vulnerabilities in the German residential real estate market had decreased significantly but not yet been fully resolved, Bafin reduced the systemic risk buffer from 2% to 1% on 30 April 2025.

Bafin carried out further cross-sectional analyses in 2025 in order to identify risks such as concentrations or defaults in the commercial real estate lending business at an early stage. In 2025, Bafin also increased its scrutiny of the impairment assessments of commercial properties and initiated special inspections at institutions with an increased need to write down properties in their own securities accounts (Depot A).

At insurers and pension funds, Bafin carried out individual analyses in 2025 to review risk management in relation to alternative investments and real estate exposures. In financial reporting enforcement, Bafin focussed on random sampling examinations of the impairment of financial and non-financial assets, including banks' loan portfolios and real estate portfolios outside the banking sector. In addition, Bafin continued to closely supervise retail investment funds with special liquidity situations.

Risks arising from cyber incidents with serious consequences

The threat posed by cyber incidents in the financial sector remained a significant concern in 2025, particularly in light of global geopolitical tensions. Complex IT systems and the adoption of artificial intelligence provide an additional gateway for attacks. Upon the entry into force of [DORA](#) on 17 January 2025, Bafin assumed the role of central reporting hub for the German financial sector regarding serious information and communication technology incidents in Germany.

733 such incidents were reported to Bafin in 2025, with approximately 10% being security incidents. These were largely cyberattacks. The most frequently reported type of attack in 2025 was phishing, accounting for 31.1%. However, attacks involving malware and hacking (28.3%) as well as distributed denial-of-service (DDoS) attacks (15%) and ransomware attacks (13.3%) were also frequently reported.

2025 saw several successful attacks on financial companies, resulting in the leakage of confidential data. Security vulnerabilities in software and hardware played a major role in the attacks. In addition to financial entities, attackers often also targeted their service providers. In 2025, 40% of all attacks reported did not occur at the affected financial entity itself, but at one of its service providers. However, the attacks had serious consequences for one or more financial companies.

In its role as the central reporting hub for serious ICT incidents, Bafin forwarded incoming reports to relevant authorities such as the Federal Office for Information Security (BSI) and the Deutsche Bundesbank. Bafin maintains an overview of cyber risks to identify threats and vulnerabilities. Together with German and European supervisors, Bafin began the phased implementation of the Systemic Cyber Incident Coordination Framework ([EU-SCICF](#)) in 2025 to strengthen regulatory coordination in the event of systemically significant incidents.

Bafin played an active role in the German Financial Cyber Crisis Roundtable (G-FinCRT), including by expanding the exchange of information beyond crisis situations.

Together with the supervised companies, Bafin conducted cross-sector emergency exercises with simulated cyberattacks in 2025 for the purposes of prevention and crisis management. It also checked whether the firms required to do so were carrying out threat-led penetration tests.

In addition, Bafin contributed to the National Cyber Defence Centre ([NCAZ](#)) and maintained an exchange of information with international institutions. In the insurance sector, Bafin surveyed companies on developments in the cyber insurance business segment to gain an overview of the market and to prepare institutions for future reporting obligations.

Risks arising from market concentration due to the outsourcing of ICT services

Dependencies on ICT services have increased considerably as a result of digitalisation. Cloud computing, software solutions and other data-related services have become ever more important for financial market players. This has led to concentrations and critical dependencies, since many financial companies use a small number of multi-client service providers. These service providers are often domiciled outside the EU. This can give rise to additional risks, for example with regard to European regulatory requirements for ICT security or data protection. In some cases, there are also doubts about data security because it cannot be ruled out that foreign authorities may demand access to the data of European companies.

The tense geopolitical situation poses additional challenges for financial companies when using ICT services from third countries. If the relevant ICT technology, platforms or services were to become temporarily or permanently unavailable, it would have serious consequences for financial companies that rely on ICT services for critical or important functions.

To address these issues, DORA was introduced as a supervisory regime for critical ICT service providers with systemic relevance to the operational resilience of the European financial market. Under DORA, financial companies must assess the risks that may arise from their reliance on IT services before entering into contracts and must register these contractual relationships in information registers. In November 2025, 19 companies were classified as critical, including major cloud providers and software manufacturers. In future, they will be monitored by joint examination teams (JETs) led by the European Supervisory Authorities (ESAs).

In 2025, Bafin continuously analysed outsourcing activities in the financial sector based on electronic notifications and targeted enquiries. As part of this process, Bafin worked to improve the data quality of its outsourcing database and optimised the reporting forms. In addition, Bafin made use of the information registers on ICT contractual relationships required by DORA to transparently map interdependencies and concentrations across the entire value chain. Based on this overview, Bafin was able to directly order monitoring measures for service providers.

The outsourcing database served as an early warning system for Bafin, enabling it to alert affected companies in the event of serious incidents involving service providers. Large multi-client IT service providers were also monitored using a tiered approach. At the European level in 2025, Bafin participated in JETs set up by EBA, ESMA and EIOPA to monitor critical ICT third-party service providers, in particular cloud hyperscalers. At the same time, Bafin engages in regular dialogue with cloud providers regarding technical developments and supervisory expectations, and continuously analyses outsourcing data with a view to geopolitical conflicts.

Risks arising from insufficient measures to prevent money laundering and terrorist financing

The risk of being misused for money laundering and terrorist financing purposes remained high for players on the financial market in 2025. Reasons for this included growing geopolitical tensions, the increasing fragmentation of payment systems and the expansion of the cryptocurrency sector. The German financial market is particularly at risk due to its size and heterogeneity.

While money laundering prevention is relatively well established at the obliged entities, combating terrorist financing is often less of a focus. Institutions conducting business with high-risk countries are particularly vulnerable, especially following the re-imposition of sanctions against Iran in September 2025. This has increased the risk of evasive transactions.

The heightened money laundering risk can also be traced to the rise in transactions on the crypto market. By using mixers and tumblers as well as cold wallets, criminals can circumvent control mechanisms and launder illicit funds via crypto trading platforms. Due to their anonymity and speed, crypto transactions remained attractive in 2025 not only for money laundering but also increasingly for terrorist financing.

Every new technology brings with it an increased risk of misuse and fraud. These threats are being addressed through enhanced national and international cooperation, as demonstrated by “Operation Herakles” and “Operation Chargeback”.

In addition, Bafin examined the risks associated with the use of virtual IBANs in Germany in order to identify business models with high money laundering risks. Bafin also analysed its approach to particularly critical business models, focusing primarily on payment methods and assessing whether they are subject to authorisation.

Beyond its day-to-day operations, Bafin prepared for the transition to the future European supervisory regime under the AMLA, which commenced its operational activities in July 2025. Even during this initial phase, it worked with national supervisory authorities such as Bafin on delegated acts to complete the European anti-money laundering regime. On 11 December 2025, AMLA conducted a “country visit” at Bafin, which was attended by the Federal Ministry of Finance, the FIU and representatives from the non-financial sector.

Trend: Digitalisation

The digital transformation of the financial sector continued to accelerate in 2025. Particularly striking developments included the significant growth of stablecoins denominated in US dollars and the rapid advancement of artificial intelligence.

Despite slumps in the crypto markets towards the end of the year, the growth of stablecoins in 2025 was very dynamic. So far, stablecoins have mainly been used as a settlement currency in the crypto market. The market capitalisation of these cryptotokens, which are linked to specific assets such as central bank currencies, rose from approximately US\$200 billion to over US\$300 billion over the course of 2025.

As more and more companies in the financial sector use AI, the associated risks – such as reliance on third-party providers for cloud solutions and AI models – are growing in significance. The number of potential entry points for criminal attacks is also increasing. Last but not least, there is a growing risk of herding investment behaviour based on identical or similar recommendations from the models or automated trading strategies.

In 2025, Bafin analysed the current practices and plans of supervised companies regarding the use of AI and machine learning (ML). It then assessed the technological risks and communicated its updated expectations in the form of a guidance notice on ICT risks arising from the use of AI. As non-binding guidance, it is designed to help financial entities (in particular CRR institutions and Solvency II insurance undertakings) to implement the relevant regulatory requirements under DORA when using AI.

In 2025, Bafin continued to maintain its dialogue on fintech with market participants, technology service providers and other stakeholders. As part of its “Bafin Pop-Up Embassies” event series, Bafin once again provided startups with information on authorisation issues and its supervisory expectations regarding innovative business models. In addition, Bafin organised several meetings of the AI Roundtable to discuss current trends and developments in the field of AI with supervised entities. The results were incorporated into the guidance notice.

Trend: Sustainability

Sustainability remained a key issue for the financial sector and for Bafin in 2025. The physical risks facing stakeholders are increasing – driven by ongoing climate change and the long-term damage to important ecosystems. Companies in the financial sector must step up their efforts to prepare for potential losses. A Bafin survey of selected insurers and less significant credit institutions on the physical risks of climate change highlighted that there is still a need for action in this area. Bafin incorporated these findings into its supervisory activities in 2025.

The survey revealed that the companies queried do address sustainability risks in principle. Most of the insurers and all the credit institutions surveyed also stated that they take physical risks into account in their risk inventories and materiality analyses. Half of the insurers surveyed reported that these factors have a substantial influence on their analyses. Among the credit institutions surveyed, only 10% saw a substantial influence. In addition to differences in their business activities, one reason for this discrepancy could be the issue of data availability and the effective use of data. 60% of insurers and 70% of banks considered the lack of available data on physical risks to be a problem.

Following the survey, Bafin once again clearly stated its expectations of supervised entities: climate and environmental risks are real. Banks and insurers must therefore adequately take these risks into account in their risk management. They need to be able to

assess the economic consequences and to not only describe such risks, but also measure them quantitatively. To do this, they must make use of available data and, where necessary, collect such data using a risk-based approach. In Bafin's view, companies should already be utilising the wide range of data sources that are publicly available or supplied by commercial providers.

In 2025, Bafin once again examined in its routine and ad hoc inspections how institutions deal with sustainability risks in their risk management. Specifically, 96 institutions were assessed based on the Minimum Requirements for Risk Management (↗ MaRisk) in 2025 to examine topics such as how they incorporate sustainability factors into their risk inventories, business and risk strategies, and risk management. This represents approximately 8.8% of all supervised institutions.

SUSTAINABILITY IN THE MARISK

Assessment of sustainability risks since the seventh amendment to the MaRisk

Sustainability risks have been taken into account by default in all banking supervision inspections since the publication of the seventh amendment to the MaRisk in late June 2023 and the end of the transition periods on 1 January 2024.

In this context, climate risks are grouped together with other environmental risks, including biodiversity risks, under the term “sustainability” (Environment). These are accompanied by risks relating to social issues (Social) and corporate governance (Governance). In regulation and supervision, sustainability risks are referred to as ESG risks.

Expectations of institutions revised in ninth amendment to the MaRisk

Bafin revised its MaRisk in 2025, updating the sections on the management of sustainability and ESG risks. Under the ↗ ninth amendment, which is due to come into force in the summer of 2026, Bafin is setting out more specific measures regarding ESG risk factors, thereby emphasising its expectation that ESG risk factors be appropriately integrated into all elements of risk management. In the new MaRisk, Bafin

also highlights the freedom of choice regarding methodology and points out that a single valuation method is not sufficient for capturing ESG risk factors; rather, a combination of different valuation methods is advisable.

Significant environmental risks, too, must be adequately taken into account when designing stress tests. Institutions should also carry out resilience analyses regarding their business model over a time horizon of at least ten years. Bafin also expects them to appropriately take the results into account when analysing their business model and setting their strategy.

These supervisory inspections resulted in 79 findings relating to sustainability risks. 36% related to credit processes, 18% to risk inventory, 13% to business and risk strategy, 11% to risk-bearing capacity, 6% to stress testing and 13% to other inspection fields relating to sustainability.

Bafin requested that the institutions rectify the identified shortcomings without delay and regularly update Bafin on their progress in doing so. Institutions that have not yet rectified all shortcomings will continue to be subject to lower SREP classifications and the resulting higher capital requirements.

Overall, Bafin's MaRisk inspections showed that risk management at the institutions is developing well across the board, partly thanks to support they receive from central service providers. The inspections also revealed that institutions' awareness of the issues has increased significantly. However, Bafin still sees a clear need for improvement in the systematic tracking of parameters used to measure environmental and climate risks. In Bafin's view, there is also considerable room for improvement when it comes to the precise quantification of climate risks. This highlights once again that institutions must make effective use of the available data.

INSIDE BAFIN: FOCUS ON SUSTAINABILITY

Centre for Sustainable Finance as separate division

Bafin has made its Centre for Sustainable Finance an independent division. This is because Bafin recognises the need to engage in-

tensively with this field in the long term. Cooperation between the Centre for Sustainable Finance as a central coordinating and steering body and the relevant units in banking, insurance and securities supervision proved successful again in 2025. The new division will therefore be involved in supervisory and inspection planning from the outset. Moreover, ESG risks are integrated as a fixed component into the general supervisory programmes of the specialist supervisory units and are always considered during the relevant inspections.

Due to their business models, insurers – particularly property and casualty insurers and reinsurers – have been actively addressing physical risks for some time. However, they should continuously assess whether their own models are capable of adequately accounting for the current pace of climate change. Historical data may not accurately reflect the current situation. In 2025, Bafin focused on the modelling of natural disaster risks and launched a survey on this topic.

The objective was to deepen the assessment of physical climate risks based on the survey conducted in 2024. One area of emphasis was the reinsurance of such risks. The 2024 study concentrated on the heavy rainfall in western Germany during the summer of 2021. Physical risks were also a key focus at Bafin's third Sustainable Finance Conference on 9 May 2025.

Greenwashing is unacceptable to Bafin because it can be detrimental to investors and undermine trust in a functioning market for sustainable investments. The EU Sustainable Finance Disclosure Regulation (SFDR) addresses this important issue and is designed to create transparency. This enables customers to make informed decisions in line with their own ESG preferences and avoid disappointment in the event that the financial products or investment strategies on offer do not meet their expectations. Bafin revised the relevant supervisory regulations and also carried out random inspections in 2025 to assess how companies were complying with the requirements of the SFDR, Bafin's Merkblatts Guidance Notice on Allocation Methodology and, in particular, the ESMA Guidelines on Funds' Names.

When reviewing compliance with the disclosure requirements under the SFDR, Bafin can determine whether companies' marketing and advertising statements contradict the information disclosed, thereby preventing greenwashing. The same applies to Bafin's random sampling inspections of retail funds. In 2025, Bafin once again examined whether such funds were actually making the promised investments in ESG-compliant assets. Together with ESMA and another national fund supervisory authority, Bafin be-

gan developing an IT-based analytical tool in 2025 to examine the portfolio composition of funds even more effectively. It is additionally testing a tool to verify impact claims.

Other relevant supervisory obligations include the MiFID II suitability requirements and the mandatory querying of clients' sustainability preferences, taking into account the ESMA [↗ Guidelines](#).

Strategic priority

Bafin recognises the need for long-term action on sustainability. When setting its strategic objectives in 2025 for the years 2026 to 2029, it therefore dedicated Objective 7 to this issue.

Strategic objectives 2026-2029

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“We make sure that supervised entities take sustainability risks into account in their business activities, fulfil the applicable requirements with regard to transparency and distribution, and provide meaningful information on the sustainability impacts of their financial products.”

Further supervisory measures included the implementation and operationalisation of enforcement measures for the Corporate Sustainability Reporting Directive ([↗ CSRD](#)) as well as the first-time application of the European Green Bonds Regulation ([↗ GBR](#)) to relevant products in Germany.

In light of the ongoing revision of the EU Disclosure Regulation, Bafin found in a representative online survey of retail investors on sustainable financial products that around two-thirds of consumers continue to express a high level of interest in such financial products. However, they are calling for significantly clearer rules and transparent information to better distinguish sustainable financial products from non-sustainable ones. Furthermore, a majority of respondents expect a high proportion of sustainable investments in all financial products categorised as sustainable, and that investments in cer-

tain companies be excluded, such as those committing serious human rights violations. The survey was conducted leading up to the SFDR review and was taken into account by the European Commission as part of its [↗ impact assessments](#).

Bafin remained active at the European level and beyond in 2025, working with the [ESA](#) committees and international standard-setters on sustainability issues such as the topic of transition, which emerged as a growing priority. Another task in 2025 was the drafting of numerous delegated implementing regulations. Bafin is also a member of the global Central Banks and Supervisors Network for Greening the Financial System (NGFS).

Trend: Geopolitical turmoil

The economic and political landscape in 2025 was characterised by global trends towards fragmentation and geopolitical turmoil.

Notable factors included the uncertainties arising from the [US](#) administration's tariff policy. The trade dispute between the [US](#) and China also weighed on the German economy, as it led to an increase in Chinese imports into the European market.

At the same time, the growing threat posed by geopolitical tensions is driving up defence spending in Europe. Concerns about the sovereign debt sustainability of major economies and fears of the negative effects of ongoing trade conflicts caused yields on long-term government bonds from many eurozone countries, the [US](#) and the [UK](#) to rise to multi-year highs during 2025.

The high market volatility caused by geopolitical risks also makes it difficult to value assets in fund portfolios, especially illiquid assets such as real estate, private equity and emerging market bonds. Valuation uncertainty also affects insurers, and rising volatility threatens to trigger write-downs on their investments, which would weigh on insurers' earnings.

In the face of growing geopolitical tensions, state-sponsored cyberattacks are also growing in importance. In addition, the threat of physical and digital acts of sabotage against critical infrastructure persists.

Bafin continuously monitored the geopolitical situation in 2025 and ensured that companies in the financial sector appropriately factored geopolitical risks into their risk management.

Credit institutions, payment institutions and e-money institutions, leasing and factoring institutions, crypto institutions and credit services institutions

Risk classification, inspections and special inspections

Risk classification

Every year, Bafin and the Deutsche Bundesbank classify the institutions under their direct supervision to ensure risk-oriented monitoring. These classifications are based on the EBA Guidelines on the supervisory review and evaluation process. As the groups of institutions are very heterogeneous and not directly comparable, slightly different frameworks are used for credit institutions, payment and e-money institutions, and leasing and factoring institutions.

Bafin uses two dimensions to classify credit institutions: the quality of the institution and the potential impact on the stability of the financial sector of a solvency or liquidity crisis at the institution concerned. Both dimensions are measured on a four-tier scale (low to high). The results are shown below in tables 1 to 3.

Bafin uses this information to determine the intensity of its supervisory programme for each individual institution, thereby ensuring a proportionate, risk-based supervisory approach.



Table 1: Risk classification results for credit institutions under national supervision in 2025 and 2024*

Institutions in %		Quality									
Risk Matrix		1		2		3		4		Total	
		2025	2024	2025	2024	2025	2024	2025	2024	2025	2024
Impact	High	0.0	0.0	2.7	2.4	0.5	0.5	0.0	0.0	3.2	2.9
	Medium	0.0	0.2	4.3	4.3	3.8	4.5	1.1	0.6	9.2	9.6
	Medium-low	0.5	1.0	10.1	9.3	2.9	2.0	1.0	0.5	14.5	12.8
	Low	4.5	5.8	55.6	58.4	12.9	10.3	0.1	0.2	73.1	74.7
Total		5.0	7.0	72.7	74.4	20.1	17.3	2.2	1.3	100	100
* This table shows the relative breakdowns of the credit institutions supervised by Bafin's Banking Supervision units. Source: <u>Bafin</u>											



Table 2: Risk classification results for payment institutions and e-money institutions in 2025*

Institutions in %		Inspection report results				
Risk matrix		1	2	3	4	Total
Impact	High	0.0	0.0	6.6	0.0	6.6
	Medium	0.0	11.5	4.9	1.6	18.0
	Medium-low	3.3	19.6	6.6	3.3	32.8
	Low	8.2	16.3	11.5	6.6	42.6
Total		11.5	47.4	29.6	11.5	100

* Due to the pilot phase to date and the adjustment of the classification system in 2025, the data is not yet very stable or comparable and may relate to different planning years.

Source: Bafin



Table 3: Risk classification results for leasing and factoring institutions in 2025*

Institutions in %		Institution rating				
Risk matrix		A	B	C	D	Total
Impact	High	0.0	0.3	0.3	0.0	0.6
	Medium	0.3	2.4	1.8	0.0	4.5
	Medium-low	14.1	25.3	5.7	0.6	45.7
	Low	23.1	20.4	3.9	1.8	49.2
Total		37.5	48.4	11.7	2.4	100
* Due to the pilot phase to date and the adjustment of the classification system in 2025, the data is not yet very stable or comparable and may relate to different planning years. Source: <u>Bafin</u>						

Inspections and special inspections

In its inspections, Bafin bases its approach on each credit institution's risk classification (see Table 4).



Table 4: Special inspections of credit institutions initiated by Bafin in 2025 and 2024 by risk class

		Quality of the institution											
Special inspections initiated by Bafin		1		2		3		4		Total		Institutions* in %	
		2025	2024	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024
Im- pact	High	0	0	12	6	3	2	0	0	15	8	39.5	22.9
	Medium	0	0	10	16	7	12	5	0	22	28	19.8	23.7
	Medium-low	0	1	10	12	7	5	5	1	22	19	12.6	12.0
	Low	2	3	24	30	15	27	0	1	41	61	4.7	6.6
Total		2	4	56	64	32	46	10	2	100	116	8.4	9.4
Institutions in %*		3.3	4.7	6.4	7.0	13.3	21.5	38.5	12.5	8.4	9.4		
* Percentage of the total number of institutions in the respective quality/impact category for which inspections were performed. Source: <u>Bafin</u>													

In 2025, Bafin conducted a total of 130 special inspections across all groups of institutions (previous year: 134). Table 5 shows the breakdown of these inspections for each group of institutions and the areas of emphasis of the special inspections in comparison with the previous year. There was a particularly marked decline in MaRisk inspections, due in part to the risk tolerance framework introduced in 2024, through which Bafin is consciously promoting a more risk-oriented and proportionate approach.

In its special inspections in 2025, Bafin also focused on internal governance and impairment tests, which are used to assess the recoverability of loan receivables and risk provisioning, often in combination with credit process reviews. In addition to special inspections, Bafin employed further supervisory instruments. For instance, it made gover-

nance an area of emphasis in its annual financial statement audits in accordance with section 30 of the German Banking Act (KWG) and section 24 (4) of the German Payment Services Supervision Act (ZAG).

Bafin ordered ad hoc special inspections at 44 institutions in 2025 (see tables under "Measures and sanctions").



**Table 5: Special inspections in 2025 and 2024
by groups of institutions (part 1)**

	Commercial banks		Savings bank sector		Cooperative sector		Other institutions	
	2025	2024	2025	2024	2025	2024	2025	2024
Impairment-related special inspections	5	3	5	5	13	9	2	1
Section 25a (1) of the KWG (MaRisk)	23	19	10	19	33	50	9	13
Cover	0	0	8	2	0	1	2	1
Internal approaches	2	1	3	3	0	0	0	0
Section 19 of the ZAG	0	0	0	0	0	0	0	0
Section 20 of the Crypto-markets Supervision Act	0	0	0	0	0	0	0	0
Total	30	23	26	29	46	60	13	15
Inspection ratio in %*	23.4	17.6	7.6	8.4	7.2	9.0	31.0	16.3
* Ratio of the number of inspections to the number of institutions in each group of institutions. Source: <i>Bafin</i>								



**Table 5: Special inspections in 2025 and 2024
by groups of institutions (part 2)**

	Leasing and factoring institutions		Crypto institutions**		Payment institutions and e-money institutions		Total (part 1 and 2)	
	2025	2024	2025	2024	2025	2024	2025	2024
Impair- ment- related spe- cial inspec- tions	0	0	0	0	0	0	25	18
Section 25a (1) of the <u>KWG</u> (MaRisk)	7	2	2	3	1	0	85	106
Cover	0	0	0	0	0	0	10	4
Internal ap- proa- ches	0	0	0	0	0	0	5	4
Section 19 of the <u>ZAG</u>	0	0	0	0	3	2	3	2
Section 20 of the Crypto- markets Supervi- sion Act	0	0	2	0	0	0	2	0
Total	7	2	4	3	4	2	130	134

* Ratio of the number of inspections to the number of institutions in each group of institutions.

** This term covers all providers of cryptoasset services, financial services institutions that hold a qualified crypto authorisation and cryptoasset registrars.

Source: Bafin

Inspection ratio in %*	2.1	0.6	36.4	25.0	4.9	2.4	
* Ratio of the number of inspections to the number of institutions in each group of institutions. ** This term covers all providers of cryptoasset services, financial services institutions that hold a qualified crypto authorisation and cryptoasset registrars. Source: <u>Bafin</u>							

Insurance undertakings and pension funds

Risk classification, inspections and special inspections

Risk classification

Bafin classifies supervised insurers and pension funds into risk categories in order to monitor them on a risk-oriented basis. For this classification, Bafin examines factors including the entity’s financial position and financial performance, the system of governance and future viability as well as the holders of qualifying holdings. Bafin also considers the potential impact of a solvency or liquidity crisis at the undertaking concerned on the stability of the financial sector.

When assessing groups, Bafin examines certain group-specific factors rather than focusing on holders of qualifying holdings. It takes into account the classification results of the individual undertakings as well as qualitative and quantitative group-specific information. In 2025, the classified insurance groups received ratings of A (1.9%), B (81.1%) or C (17.0%) (see Table 1).



Table 1: Risk classification results for insurance undertakings and pension funds in 2025 and 2024

Undertakings in %		Quality of the undertaking									
		A		B		C		D		Total	
		2025	2024	2025	2024	2025	2024	2025	2024	2025	2024
Impact on financial stability	Very high	0.0	0.0	3.0	2.0	1.2	1.6	0.0	0.0	4.2	3.6
	High	1.6	1.6	8.3	9.8	3.8	2.7	0.0	0.0	13.7	14.1
	Medium	5.0	3.7	16.3	17.6	7.1	5.9	0.0	0.0	28.5	27.2
	Low	5.6	4.9	38.9	37.6	7.9	11.4	1.2	1.2	53.6	55.1
	Total	12.3	10.2	66.5	67.0	20.0	21.6	1.2	1.2	100	100

Source: Bafin

Inspections and special inspections

Bafin also takes a risk-based approach when planning inspections in insurance supervision. It takes into account not only the risk classification but also when it last inspected the supervised entity in question. In addition, Bafin carries out special inspections focusing on specific events or topics such as IT or conduct of business supervision. It often conducts these inspections itself, though it sometimes delegates them to third parties.

In 2025, Bafin conducted a total of 83 inspections of insurance undertakings and pension funds (previous year: 74 inspections). Table 2 shows the breakdown of inspections by risk class. Bafin identified errors in the course of five ad hoc special inspections (see tables under “[Measures and sanctions](#)”).



Table 2: Inspections of insurance undertakings and pension funds in 2025 and 2024 by risk class

Inspections performed		Quality of the undertaking											
		A		B		C		D		Total		Undertakings in %	
		2025	2024	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024
Impact on financial stability	Very high	0	0	5	7	1	4	0	0	6	11	7.2	15.1
	High	3	1	7	8	7	4	0	0	17	13	20.5	17.8
	Medium	3	1	14	13	11	8	0	0	28	22	33.7	30.1
	Low	0	0	27	18	3	9	2	0	32	27	38.6	37.0
	Total	6	2	53	46	22	25	2	0	83	73*	100	100
	Undertakings in %	7.2	2.7	63.9	63.0	26.5	34.2	2.4	0	100	100		
* In addition, one inspection was conducted at an unclassified undertaking, bringing the total to 74. Source: Bafin													

Securities trading and investment business

To ensure the transparency and integrity of the financial market, Bafin conducted examinations at investment firms and carried out supervisory visits at German asset managers.

Investment firms and financial market infrastructures

Bafin examined every supervised investment firm under the German Investment Firm Act (WpIG) in 2025, and a large number of them were also examined under the German Securities Trading Act (WpHG). For this purpose, the institutions were assigned a risk classification in the SREP. This determines the intensity of the examination carried out at each investment firm. One ad hoc special examination was carried out at an investment firm in 2025 (see tables under “[Measures and sanctions](#)”). The examination focused on compliance with requirements on the outsourcing of activities and processes, as well as the adequacy of business and capital planning.

Bafin defined areas of emphasis to supplement the regular examination for four investment firms (see Table 1). These areas of emphasis included firms’ risk management, compliance with the scope of authorisation and, in the case of two firms, the communication channels and platforms through which the firms reach out to existing and potential customers.



Table 1: Examinations under the Investment Firm Act and the Securities Trading Act in 2025 and 2024

Ongoing supervision	2025	2024
Examinations under the WpIG	682	707
Examinations under the WpHG	549	564
Areas of emphasis for examinations	4	13
Shadowed inspections of firms	2	6
Source: Bafin		

Bafin examined the governance, business strategy and, in particular, the risk models of the two supervised central counterparties (CCPs) in 2025 in accordance with the requirements set out in the EU Regulation on [OTC derivatives](#), central counterparties and trade repositories ([EMIR](#)).

In addition, Bafin worked closely with the Eurosystem to coordinate and secure the [CCPs’](#) access to the European Central Bank’s newly established [CCP credit facility](#). This enabled one [CCP](#) to surrender its additional banking licence, since [CCPs](#) can now access central bank liquidity without a [CRR](#) licence under clearly defined conditions.

This significantly reduces the complexity inherent in the parallel supervision of the CCP in its dual roles as a CCP and a credit institution under the CRR. The surrender of the banking licence has no impact on Bafin's ongoing supervision of the institution as a CCP.

German asset managers (*Kapitalverwaltungsgesellschaften*)

Bafin performed a total of 51 supervisory visits and annual interviews at German asset managers in 2025 (previous year: 53). There were three supervisory visits and annual interviews with custodians. The focus was on the implementation of DORA and the disclosure requirements under the EU Disclosure Regulation. The visits also covered digitalisation, including the use of artificial intelligence, and the implementation of the German Fund Risk Limitation Act (FRIG), as well as the introduction of a second, regulation-mandated liquidity management tool to prepare for the FRIG. Risk management at private debt funds and German asset managers' handling of insolvencies were also addressed, with Bafin exchanging lessons learned regarding insolvencies from the previous year with the companies visited. Another topic was the strained liquidity situation at German asset managers and their funds. In cases affecting group-affiliated companies, Bafin held discussions with the parent company regarding potential liquidity support.

The prescribed financial statement audits were performed in 2025 at all 145 authorised German asset managers. Areas of emphasis in the audits were compliance with the organisational obligations under the PRIIPs Regulation and the relevant organisational requirements for participation certificates.

Bafin ordered 16 special inspections at German asset managers in 2025 (previous year: 20). One topic covered selected aspects of pension products, such as the specific risks associated with these products or the number of investor complaints regarding contracts. Other topics included the handling of intra-group conflicts of interest and the cost burden on investors in the event of fund redemptions. Bafin shadowed the external auditors in six of the special inspections (previous year: seven) and identified errors in the course of one ad hoc special inspection (see tables under "Measures and sanctions").

Financial reporting enforcement

A total of 429 publicly traded companies domiciled in 10 countries were subject to financial reporting enforcement by Bafin as at 1 July 2025 (previous year: 447).

Examinations

Bafin completed 50 examinations in 2025, of which 42 were the result of random sampling and 8 were ad hoc examinations (see Table 1). In 14 examinations, Bafin identified errors and subsequently published them (see the table "Measures and sanctions").

Bafin also investigated 44 internal and external tip-offs, 29 of which led to in-depth examinations. Due to concrete evidence of infringements of accounting requirements, Bafin subsequently initiated further examinations and disclosed these findings publicly in each case.

Common sources of errors

Bafin identified errors primarily in the valuation of assets – such as tangible fixed assets, intangible assets, financial instruments and investment properties. Errors in management reports mainly concerned the presentation of future developments and risks.



Table 1: Financial reporting examinations in 2025 and 2024

	Financial reporting examinations		Errors found		No errors found		Discontinued	
	2025	2024	2025	2024	2025	2024	2025	2024
Ad hoc examinations	8	5	4	3	4	0	0	2
Random sampling	42	41	10	7	31	31	1	3
Total	50	46	14	10	35	31	1	5
Source: Bafin								

Areas of emphasis for examinations

Each year, ESMA sets European common [↗] enforcement priorities for random sampling examinations. For the 2024 financial year, ESMA focused on liquidity aspects as well as disclosures regarding accounting policies, judgements and significant estimates. As a national area of emphasis for 2025, Bafin examined the impairment of assets in the 2024 financial reports. It also set company-specific areas of emphasis for examinations.

In November 2025, Bafin published its area of emphasis for random sampling examinations of the 2025 financial year. In light of macroeconomic changes, Bafin will examine whether companies adequately present their financial position and financial performance as well as their expected future development, including key opportunities and risks, in their (group) management reports.

Prevention of money laundering and terrorist financing

Bafin took a risk-based approach in its inspections regarding the prevention of money laundering and terrorist financing in 2025.

In its inspections regarding the prevention of money laundering and terrorist financing in the banking sector in 2025 (see Table 1), Bafin focused on the role of the anti-money laundering officer, IT monitoring and risk analysis. It also directly inspected banks' outsourcing providers. In the non-banking financial sector, Bafin concentrated on compliance with customer due diligence requirements and risk management. In this context, Bafin also carried out nine routine on-site inspections at agents of foreign payment institutions in collaboration with the state criminal police offices and municipal public order offices (*Ordnungsämter*).

In addition, Bafin conducted 643 regular and ad hoc supervisory interviews and visits in 2025 and took part in 57 annual audits.

Bafin defined additional areas of emphasis for 31 annual audits for 2025 in order to more closely monitor institution-specific preventive measures.



Table 1: Money laundering prevention inspections in 2025 and 2024

	Banking sector		Non-banking financial sector	
	2025	2024	2025	2024
Own inspections by Bafin*	41	49	23	30
Inspections performed by audit firms on behalf of Bafin*	21	30	7	5
Total	62	79	30	35
* Includes ad hoc special inspections and routine inspections.				
Source: Bafin				

Supervision of companies

Measures and sanctions

Measures

In 2025, Bafin continued to take decisive action and impose measures where necessary. In its supervision of companies, measures included the following:

- In February 2025, Bafin ordered a moratorium to secure the assets of a credit institution due to the risk of insolvency and filed an application to open insolvency proceedings. The institution was primarily active in the commercial real estate sector.
- In March 2025, Bafin revoked the authorisation of an insurer following the opening of insolvency proceedings against the insurance undertaking.
- In April 2025, Bafin ordered an ART issuer to reverse transactions that were subject to authorisation, specifically the issuance of its cryptotoken. Bafin had already found serious deficiencies at the institution during the authorisation procedure and imposed sanctions in this regard. For the first time, it based its measures on [↗] MiCAR.
- In July and October 2025, Bafin issued warnings to several managing directors of insurance undertakings for violating the provisions governing the product approval process.
- In September 2025, Bafin instructed a credit institution to take appropriate organisational measures, in accordance with the supervisory statement on the issuance of annual tax certificates published in May 2023, to ensure that annual tax certificates are issued in a timely manner in future.
- In October 2025, Bafin revoked the authorisation of a Pensionskasse for the conduct of insurance business. The company was unable to meet the minimum capital requirement and failed to present a realistic financing plan to address the shortfall.
- In December 2025, Bafin imposed a comprehensive package of measures on a credit institution. Among other things, the institution must take appropriate and effective measures to ensure that it has a proper business organisation in place. Bafin also appointed a special representative to monitor compliance with the measures and report on progress in their implementation. In addition, Bafin imposed additional own funds requirements and business restrictions on the institution.

Sanctions: Bafin imposes administrative fines

Bafin initiated a total of 142 administrative fine proceedings in 2025. It imposed fines amounting to a total of €80,937,500.

The sanctions imposed by Bafin included the following:

- In February 2025, Bafin imposed administrative fines totalling €23,050,000 on a credit institution. Among other issues, the institution had failed to address breaches of the law promptly enough and had taken corrective action too late. The institution also failed, at times, to record client orders placed by telephone. Furthermore, it failed to process account switching requests, or did so only with a delay, resulting in breaches of the German Payment Accounts Act (ZKG).
- In August 2025, Bafin imposed a fine of €3.3 million on another credit institution for systematically failing to submit suspicious transaction reports within the prescribed period.
- In September 2025, Bafin imposed a fine of €910,000 on an institution that had violated the German Securities Trading Act (WpHG). Among other issues, it had failed to make adequate arrangements in 2020 and 2021 to safeguard the ownership rights of clients in securities in connection with buy and sell orders. Furthermore, during the same period, it failed to provide customers with the required information about cost components when they purchased bundled products.
- In October 2025, Bafin imposed an administrative fine of €45 million on a credit institution due to shortcomings in the area of money laundering prevention. The institution culpably breached its supervisory obligations regarding internal processes for the submission of suspicious transaction reports. As a result of these procedural shortcomings, the institution systemically failed to submit suspicious transaction reports without undue delay from October 2021 to September 2022.
- In December 2025, Bafin imposed two administrative fines amounting to a total of €560,000 on a credit institution for violations of the WpHG. At the beginning of 2022, the institution advertised free investment services on two of its websites without clearly indicating that a processing fee would be charged on a regular basis.
- In December 2025, Bafin imposed sanctions on a payment service provider. The company did not have an adequate data processing system in place to ensure compliance with the German Money Laundering Act (GwG). In addition, the company had not adequately tailored the scope of its due diligence obligations to its risk of money laundering or terrorist financing. The administrative fines amounted to €95,000. Bafin had previously ordered the payment service provider in January 2025 to meet higher own funds requirements and to address shortcomings in its anti-money laundering measures. Bafin had also appointed a special representative.

Bafin publishes details of measures and sanctions on its website to the extent that this is permitted by law.



Table 1: Measures and sanctions in the supervision of companies in 2025 and 2024 (part 1)

		Credit institutions		Payment institutions and e-money institutions		Leasing and factoring institutions	
		2025	2024	2025	2024	2025	2024
Measures against managing directors and persons with key tasks	Cautions	7	12	0	0	0	2
	Business prohibitions	3	2	0	0	0	0
	Dismissal requests	0	2	0	0	0	0
Measures against members of supervisory/administrative boards	Cautions	1	0	0	0	0	0
	Business prohibitions	0	0	0	0	0	0
	Dismissal requests	0	1	0	0	0	0
Measures relating to own funds/liquidity, including where the large exposure limit is exceeded		564	720	0	0	2	1
Ad hoc special inspection*		39	44	3	3	2	3
Orders to ensure proper business organisation		14	20	1	2	3	1
Other measures regarding organisational shortcomings, e.g. restrictions on the type of business		0	0	0	0	0	0
Appointment of a special representative		8	12	1	1	1	0
Other measures for non-compliance		1	4	0	0	0	0
Measures to avert risk at authorised companies		2	1	0	0	0	0
Revocation of authorisation		0	0	0	0	1	0
* Does not include routine inspections. Source: <i>Bafin</i>							

			Credit institutions		Payment institutions and e-money institutions		Leasing and factoring institutions
Order to cease operations		0	0	0	0	0	0
Administrative fines (final)		12	10	2	2	0	4
* Does not include routine inspections.							
Source: <u>Bafin</u>							



Table 1: Measures and sanctions in the supervision of companies in 2025 and 2024 (part 2)

		Crypto institutions		Insurance undertakings and pension funds		Investment firms	
		2025	2024	2025	2024	2025	2024
Measures against managing directors and persons with key tasks	Cautions	0	0	5	0	1	0
	Business prohibitions	0	0	0	0	0	0
	Dismissal requests	0	0	0	0	0	0
Measures against members of supervisory/administrative boards	Cautions	0	0	0	0	0	0
	Business prohibitions	0	0	0	0	0	0
	Dismissal requests	0	0	0	0	0	0
Measures relating to own funds/liquidity, including where the large exposure limit is exceeded		0	0	0	0	0	0
Ad hoc special inspection*		0	2	9	7	1	0
Orders to ensure proper business organisation		1	3	1	1	0	0
Other measures regarding organisational shortcomings, e.g. restrictions on the type of business		0	0	0	1	0	0
Appointment of a special representative		1	0	2	0	0	0
Other measures for non-compliance		0	0	0	0	0	1
Measures to avert risk at authorised companies		0	0	0	0	0	0
* Does not include routine inspections. ** An appeal has been lodged against two administrative fine orders. Source: <u>Bafin</u>							

		Crypto institutions	Insurance undertakings and pension funds	Investment firms		
Revocation of authorisation	0	0	7	5	0	1
Order to cease operations	0	0	0	0	0	0
Administrative fines (final)	0	3**	0	0	1	3
* Does not include routine inspections. ** An appeal has been lodged against two administrative fine orders. Source: <u>Bafin</u>						



Table 1: Measures and sanctions in the supervision of companies in 2025 and 2024 (part 3)

		German asset managers		Other**		Agents under section 2 (1) no. 4 of the Money Laundering Act	
		2025	2024	2025	2024	2025	2024
Measures against managing directors and persons with key tasks	Cautions	0	0	0	0	0	0
	Business prohibitions	0	0	0	0	0	0
	Dismissal requests	0	0	0	0	0	0
Measures against members of supervisory/administrative boards	Cautions	0	0	0	0	0	0
	Business prohibitions	0	0	0	0	0	0
	Dismissal requests	0	0	0	0	0	0
Measures relating to own funds/liquidity, including where the large exposure limit is exceeded		0	0	0	0	0	0
Ad hoc special inspection*		1	0	1	1	0	0
Orders to ensure proper business organisation		0	0	1	0	0	0
Other measures regarding organisational shortcomings, e.g. restrictions on the type of business		0	0	1	0	0	0
Appointment of a special representative		0	0	1	0	0	0
* Does not include routine inspections. ** Including auditors, outsourcing providers working for banks, and financial services institutions dealing in foreign banknotes and coins. *** Neither of the administrative fine notices is final, as an appeal has been lodged in each case. Source: Bafin							

	German asset managers		Other**		Agents under section 2 (1) no. 4 of the Money Laundering Act	
Other measures for non-compliance	0	0	0	0	0	0
Measures to avert risk at authorised companies	0	0	0	0	0	0
Revocation of authorisation	0	0	0	0	0	0
Order to cease operations	0	0	0	0	0	0
Administrative fines (final)	0	0	2***	4	0	0
* Does not include routine inspections. ** Including auditors, outsourcing providers working for banks, and financial services institutions dealing in foreign banknotes and coins. *** Neither of the administrative fine notices is final, as an appeal has been lodged in each case. Source: Bafin						

Market supervision

In the market supervision, [Bafin](#) implemented various measures in 2025.

As in the previous year, criminal proceedings to prosecute insider trading continued to see the gross principle applied in the confiscation of assets under criminal law. Under this principle, not only the profit realised but the entire proceeds from the sale of the securities are confiscated. Furthermore, the asset forfeiture is calculated separately for each offence, which often results in sums exceeding the offenders' assets. As a result, many defendants convicted in the court of first instance lodged appeals with the Federal Court of Justice ([BGH](#)).

The [BGH](#) has now issued final decisions in two of these cases. The rulings confirmed the legal opinion of the regional courts, public prosecutors' offices and [Bafin](#) as described above. One defendant received a prison sentence of two years and six months, and the other received a sentence of three years and three months. The Court ordered that approximately €69 million be seized.

Following a successful restructuring, [Bafin](#) was able to complete significantly more insider trading investigations in 2025 than in the previous year, partly by catching up on

older cases. Generally speaking, the number of investigations also depends on the external tips and suspicious transaction reports submitted to Bafin. Investigations and court cases can last for several years. Bafin has no influence over how quickly they are concluded.



Table 1: Measures and sanctions in market supervision in 2025 and 2024

		2025	2024
Market manipulation investigations	Completed investigations	34	46
	of which discontinued	16	30
	of which referred to public prosecutor's office	18	16
Completed market manipulation proceedings with public prosecutor's offices, courts and <u>Bafin's</u> division for administrative fines	Total	10	47
	Conviction resulting in a fine (final)	1	5
	Conviction resulting in a custodial sentence (final)	0	2
	Acquittals (final)	0	0
	Administrative fines (final)	0	0
	Discontinued for reasons of expediency (in particular against payment)	2	14
	Discontinued due to lack of evidence	7	26
Insider trading investigations	Completed investigations	43	20
	of which discontinued	23	11
	of which referred to public prosecutor's office	20	9
Source: <u>Bafin</u>			

Completed insider trading proceedings with public prosecutor's offices, courts and Bafin's division for administrative fines	Total	20	37
	Conviction resulting in a fine (final)	2	0
	Conviction resulting in a custodial sentence (final)	2	4
	Acquittals (final)	0	2
	Administrative fines (final)	0	0
	Discontinued for reasons of expediency (in particular against payment)	7	10
	Discontinued due to lack of evidence	9	21
Proceedings relating to the publication of financial reports	Administrative proceedings completed	3	1
	Threats of coercive fines	1	3
	Impositions of coercive fines	0	2
	Administrative fines (final)	9	14
Financial reporting examinations	Examinations with errors found	14	10
	of which errors found in ad hoc examination	4	3
	of which errors found in random sampling examination	10	7
Prospectus examinations	Administrative fines (final)	1	0
Voting rights percentages	Administrative fines (final)	3	3
Ad hoc disclosures	Administrative fines (final)	1	3
Consumer protection under capital markets law	Administrative fines (final)	6	3
Other market supervision matters	Administrative fines (final)	2	2
Source: Bafin			

Integrity of the financial system

Bafin is responsible for safeguarding the integrity of the financial system. It determines what financial business is subject to authorisation and what exceptions apply. It also investigates unauthorised business activities.

In 2025, Bafin received 951 authorisation requests (previous year: 833). 140 institutions were granted an exemption under section 2 (4) of the German Banking Act (KWG) in 2025 (previous year: 154 institutions), and 116 institutions were granted an exemption under section 2 (5) of the KWG (previous year: 114 institutions).

Once again, there was a large number of new suspected violations, totalling 1,645 (previous year: 1,325). Bafin searched 13 premises with the assistance of police forces in 2025 (previous year: 11).

Operation Herakles

The cybercrime centre at the public prosecutor's office of Karlsruhe and the state criminal police office of Baden-Württemberg, working in close cooperation with Bafin, significantly disrupted the infrastructure of suspected cybercriminals as part of Operation Herakles. More than 1,400 fraudulent domains were taken offline in October, and over 3,500 telephone numbers were disconnected in December.

Pop-up Embassy

For startups in the financial sector, it is crucial to know whether their planned business activities require authorisation from Bafin. Bafin uses its Pop-up Embassy format to facilitate low-threshold dialogue on this topic. Pop-up Embassies were held in 2025 at HoFT in Berlin and at the TechQuartier in Frankfurt am Main.

Annual forum

Expanding cooperation between Bafin and law enforcement agencies was a key focus of the 2025 Forum on White-collar Crime. Discussions included cybercrime and new developments in investment fraud via messaging services.

Exemptions for third-country banks

Bafin must revoke existing exemptions for third-country banks that are required to establish a domestic branch for the relevant business activities under the CRD IV Directive [↗] 2013/36/EU (version of 27 November 2024). These institutions must adapt their business models. Bafin is in regular contact with them and the supervisory authorities of their home countries and is preparing for the timely implementation of the legal requirements by early 2027.

To safeguard the integrity of the financial system, Bafin intensified its efforts in 2025, issuing significantly more administrative acts and imposing more intervention measures than in the previous year (see Table 1).



Table 1: Administrative acts/intervention measures and warnings in 2025 and 2024

	Administrative acts/intervention measures*		Warnings**	
	2025	2024	2025	2024
Integrity of the financial system	140	72	639	505
* “Administrative acts/intervention measures” include orders to cease operations, orders to wind up business, the closure and sealing of business premises, the appointment of liquidators, seizure orders, inspection orders, account freezes and other instructions issued to operators or companies involved; however, they do not include searches of premises, persons or homes. ** “Warnings” refers to formal announcements regarding the suspected conduct of business without the required authorisation. Source: <u>Bafin</u>				

Unauthorised public offers

In 2025, Bafin issued 32 warnings regarding suspected offers of securities without a prospectus.

The previous year saw 26 warnings. Bafin also issued an increasing number of warnings about offers that not only lacked a prospectus, but also involved providers offering financial services without authorisation. Bafin issued 39 requests for information and documentation as part of its market supervision in 2025 (previous year: 26) and referred 4 cases to law enforcement agencies (previous year: 11).

Objections, summary and legal proceedings against measures

Bafin can issue administrative acts that place a burden on the addressee, such as capital add-ons, the appointment of special representatives, orders

to wind up business operations and prohibitions.

Affected parties can file objections against such measures (see Table 1). This is possible within one month of notification of the administrative act. The majority of objection proceedings concluded in 2025 in the area of consumer protection stem from objections that were received from the fourth quarter of 2024 onwards regarding an overarching group of issues and were linked to existing objection proceedings.



Table 1: Objection proceedings in 2025 and 2024

Objection proceedings				
	2025		2024	
	New	Completed	New	Completed
Banking supervision	32	27	15	12
Insurance supervision	2	2	1	2
Investment firm supervision	5	11	11	4
Market supervision	15	9	7	15
Anti-money laundering supervision	9	10	3	2
Unauthorised business	36	46	42	45
Bank resolution	14	28	2	5
of which objections to the bank levy	12	26	0	3
of which objections to the determined MREL*	2	2	2	2
Consumer protection	8	1037	950	0
Financial reporting enforcement	4	4	1	2
* Minimum requirement for own funds and eligible liabilities. Source: <u>Bafin</u>				

Objections to and rescissory actions (*Anfechtungsklagen*) against unfavourable administrative acts have suspensory effect (section 80 (1) of the German Code of Administrative Procedure (VwGO)). In such cases, Bafin is not authorised to enforce the administrative act and may not take any enforcement measures.

This does not apply if the suspensory effect of the administrative act is set aside by law or by a special order from Bafin. In that case, the administrative act must be complied with even if an objection or action has been filed. For example, various measures im-

posed by Bafin against the operators of unauthorised business activities are immediately enforceable by law. Parties affected by such measures can initiate summary proceedings and request an administrative court (*Verwaltungsgericht*) to order that their legal remedies have a suspensory effect. Table 2 shows the number of times this happened in 2025.



Table 2: First- and second-instance summary proceedings in 2025 and 2024

First- and second-instance summary proceedings				
	2025		2024	
	New	Completed	New	Completed
Banking supervision	13	13	9	4
Insurance supervision	3	2	0	0
Investment firm supervision	3	4	1	4
Market supervision	8	11	8	15
Anti-money laundering supervision	0	0	0	2
Unauthorised business	13	17	7	8
Consumer protection	0	0	0	1
Financial reporting enforcement	0	0	0	0
Source: <u>Bafin</u>				

If Bafin rejects an objection, the affected party can bring legal proceedings before the administrative court (see Table 3). The number of new legal proceedings varies from year to year and is outside Bafin's control. Court cases can last for several years.



Table 3: First- and second-instance legal proceedings in 2025 and 2024

First- and second-instance legal proceedings				
	2025		2024	
	New	Completed	New	Completed
Banking supervision	31	12	7	3
Insurance supervision	1	0	2	0
Investment firm supervision	5	3	1	2
Market supervision	8	8	3	5
Anti-money laundering supervision	0	0	1	1
Unauthorised business	12	33	9	19
Bank resolution	20	0	0	0
of which claims for repayment of bank levies to the Restructuring Fund (RSF)*	20	0	0	0
Consumer protection	0	0	1	2
Financial reporting enforcement	4	0	0	2
* As of 1 January 2024, the previous allocation of bank levies collected between 2011 and 2014 and managed by the RSF ceased to apply. Institutions are suing for the repayment of these levies. Source: <u>Bafin</u>				

Consumer protection

How did Bafin work to protect consumers in 2025 within the established statutory framework? Find out here.

Collective consumer protection also falls within the remit of Bafin. This means it is tasked with ensuring an appropriate level of protection for consumers on the financial market. Bafin monitors whether supervised companies treat consumers fairly in accordance with the statutory requirements. This involves observing the products on offer, how they are sold and any other issues relating to the fair treatment of consumers. By providing impartial information tailored to the needs of specific target groups, Bafin also helps in enabling consumers to make their own independent financial decisions.

New bases of supervisory practice

Supervisory statement clarifies what is expected of investment service providers

Some investment service providers experienced technical disruptions due to the market volatility and particularly high trading volumes that followed the announcements on tariffs by the US in early April 2025. Bafin issued a supervisory statement detailing its expectation that institutions be capable of providing their securities services (including ancillary services) without any disruptions. To this end, they must plan their capacities in advance so as to prevent technical disruptions – even when receiving high volumes of customer enquiries. They must also carry out load and performance tests for exceptional stress scenarios, i.e. loads several times greater than the average daily volume.

Product intervention

Product intervention in the event of significant concerns

Bafin can use product interventions to restrict or prohibit the marketing, distribution or sale of a financial instrument where there are significant investor protection concerns. In 2025, it initiated 28 proceedings to examine such concerns (previous year: 39). Bafin completed 84 examination proceedings in 2025. 46 individual proceedings from previous years were discontinued after underlying legal issues had been clarified. In 27 cases, the examination found that the preconditions for a product intervention had not been met. In five cases, providers discontinued their offering or refrained from offering their products to the public in Germany after Bafin had voiced its significant concerns. In another six cases, providers improved their products to the benefit of investors.

Bafin restricts the marketing, distribution and sale of turbo certificates

On 15 October 2025, Bafin adopted a  product intervention measure regarding turbo certificates. This imposes restrictions on the marketing, distribution and sale of turbo certificates to retail investors residing in Germany. The measure enters into force on 16 June 2026. From that date onwards, issuers, offerors and intermediaries must include a standardised risk warning in all communications relating to the marketing, distribution and sale of turbo certificates. In addition, before any purchase takes place, intermediaries must query investors to determine whether they understand how turbo certificates work (“basic knowledge of turbo certificates”). These checks must be repeated at least once every six months. Furthermore, no monetary or non-monetary benefits, such as reduced order fees or new customer bonuses, may be granted in connection with the purchase of this type of product.

By adopting this measure, Bafin is seeking to ensure that retail investors are fully aware of the specific risks associated with turbo certificates before investing in them. A market survey by Bafin served as the basis for the measure.

Market monitoring

Market survey on the sale of interest rate and express certificates —

Bafin conducted a five-stage market survey on fixed and step-up interest rate certificates as well as express certificates from May 2024 to February 2025. It surveyed banks, product manufacturers and – for the first time – consumers. The survey also included a mystery shopping exercise. Each of the survey's individual parts revealed shortcomings. However, no systematic or serious irregularities were identified.

Market survey on turbo certificates —

On 21 May 2025, Bafin published the results of its market survey on the sale of turbo certificates to German retail investors. Among other findings, this survey revealed that, between 2019 and 2023, approximately three out of four retail investors that acquired turbo certificates incurred losses averaging €6,358 each. The market survey served as the basis for the product intervention measure regarding turbo certificates that was announced on 15 October 2025. The measure aims to strengthen investor protection in the trading of highly speculative leveraged products.

Survey on the Payment Accounts Act —

In 2025, Bafin acted to enable 213 consumers to open a basic payment account after banks had initially refused (2024: 135). Bafin conducted a further survey in 2025 on behalf of the European Commission to assess whether banks in Germany were fulfilling their obligations to offer basic payment accounts as well as assistance with switching accounts. This survey covered the years 2021 to 2023. In 2023, customers opened over 175,000 basic payment accounts (2022: 262,000; 2021: 122,000). Over this three-year period, banks rejected a total of around 15,000 applications to open such accounts. As at 31 December 2025, a total of around 1,100 credit institutions in Germany were offering basic payment accounts.

Survey on the “buy now, pay later” payment model —

A representative consumer survey conducted by Bafin in 2025 has shown that younger people spend more money than originally intended when using the “buy

now, pay later” payment model. Consumers with large unpaid debts from such purchases experienced financial difficulties more frequently and had to resort to measures like taking out loans.

Survey on credit card debt risk

In 2025, Bafin surveyed 1,722 consumers about charge cards and regular credit cards. This enabled it to discern how the respondents use their credit cards, what their debt situation looks like, and how well they understand the partial payment option offered by regular credit cards. Some consumers said that they used credit cards despite financial difficulties. They were therefore at risk of falling into a debt trap.

Mystery shopping for insurance-based investment products

A mystery shopping exercise by Bafin revealed irregularities in the sale of insurance-based investment products by some German insurers as well as in the advice they provided. For instance, those providing advice often failed to request important information or only asked for it in passing. The anticipated returns after costs often fell short of the mystery shoppers’ expectations. In many cases, insufficient information was provided about costs. Furthermore, some mystery shoppers found the advisory and contractual documents difficult to understand and, in some cases, misleading. The mystery shopping exercise was part of an ↗ EU campaign coordinated by EIOPA.

Complaints

Credit institutions and financial services providers

The number of complaints and enquiries regarding credit and financial services providers rose again compared to the previous year. In 2025, Bafin received a total of 25,999 complaints and enquiries (see Figure 1), of which 25,744 were complaints (see Table 1) and 255 were enquiries. As was the case in the previous year, many complaints related to shortcomings in customer service, especially in the case of online banks. Common areas of complaint also included the management of current accounts and attachment protection accounts as well as the settlement of such accounts upon termination and the repayment of credit balances.

Figure 1: Complaints and enquiries relating to credit institutions and financial services institutions from 2021 to 2025

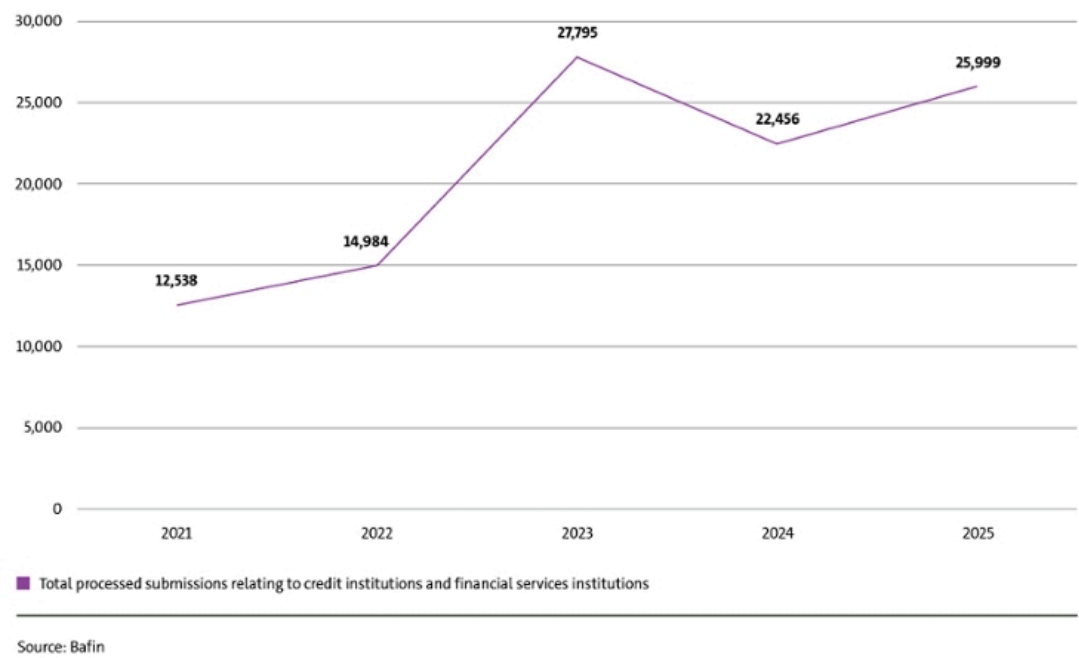


Table 1: Complaints by groups of institutions in 2025 and 2024

Year	Private banks	Savings banks	Public sector banks	Coope-rative banks	Mortgage banks	Bauspar-kassen	Financial services providers*	Foreign banks	Total number of com-plaints
2025	17,105	1,993	327	1,689	0	283	1,849	2,498	25,744
2024	15,081	1,857	302	1,533	0	312	1,315	1,723	22,123

* For example leasing and factoring undertakings.

Source: Bafin

Insurance undertakings

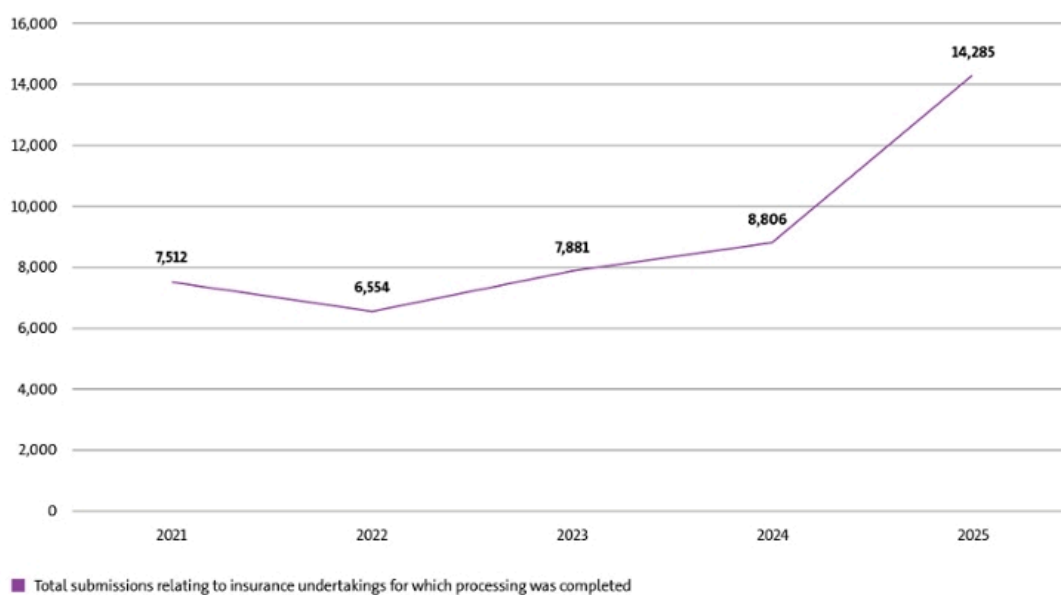
In 2025, Bafin handled a total of 14,285 submissions relating to insurance undertakings: 13,880 complaints, 379 enquiries and 26 petitions (see Figure 2). In 2024, Bafin? received 8,439 complaints, 340 enquiries and 27 petitions. The number of complaints rose by

more than 60% compared to the previous year. This increase was primarily due to an individual case in long-term care insurance. The complaints were attributable to the insurance classes set out in Table 2.

As in previous years, the majority of complaints in 2025 related to claims handling, such as delays in the processing or paying out of insurance benefits. A large portion of these complaints again related to the classes of “motor insurance” and “health insurance (long-term care insurance)”.

The latest complaints statistics from Bafin, broken down by insurance undertaking and class, can be found on the [Bafin website](#).

Figure 2: Submissions relating to insurance undertakings from 2021 to 2025



Source: Bafin



Table 2: Submissions by insurance line in 2025 and 2024

Year	Life	Motor	Health	Accident	Liability	Legal expenses	Building/ contents	Other classes	Miscellaneous	Total
2025	1,583	5,238	4,044	143	474	696	788	1,081	238	14,285*
2024	1,655	2,987	1,593	133	311	480	709	748	190	8,806**
* Includes 379 enquiries and 26 petitions. ** Includes 340 enquiries and 27 petitions. Source: <u>Bafin</u>										

Securities business

In 2025, Bafin received a total of 6,860 complaints (previous year: 5,910) and 363 enquiries (previous year: 239) from investors relating to securities transactions. Most complaints related to delays or errors in securities account transfers or the incorrect transmission of cost bases. They mostly pertained to two institutions. There were also numerous complaints about difficulties reaching customer service providers and long processing times for customer enquiries.

Complaints: “If necessary, we can and do take action”

In this interview, Bafin’s Consumer Protection Officer Christian Bock discusses figures from complaints statistics and the developments they demonstrate, explaining the relevance of consumer complaints for Bafin’s work.

Investment firms and German asset managers

Bafin also received a total of 59 complaints and 148 enquiries relating to investment firms and German asset managers in 2025 (previous year: 105 complaints and 61 enquiries).

Most of the complaints and enquiries regarding open-ended retail real estate funds related to their winding-up and liquidation as well as their valuation and risk classification. Numerous complaints also related to cases of identity theft targeting authorised and registered German asset managers. Many investors also submitted complaints about the publication of fund prices and performance figures. They felt misled because they had invested on the basis of inaccurate, outdated or incorrect figures.

Bafin consumer helpline

Calls to Bafin's consumer helpline have been increasing steadily in number over recent years. The number stood at 36,762 in 2025, rising from 33,650 in the previous year. In 2025, 50.41% of calls related to queries and issues concerning the banking sector, while 17.31% related to the insurance sector and 6.45% of calls related to securities supervision. 17.69% of the enquiries related to the black capital market, where participants conduct business without the required authorisation or engage in prohibited activities. 8.14% of calls related to other topics.

Informing consumers and improving financial literacy

In 2025, Bafin provided a wide range of information to consumers in order to promote financial literacy. It published a wide range of consumer information on its website – including information on fraudulent trading platforms, investment fraud via WhatsApp and Telegram and express certificates.

Together with the German National Association of Senior Citizens' Organisations (*Bundesarbeitsgemeinschaft der Senioren-Organisationen*), Bafin published consumer information on powers of attorney in a compact format dubbed Finance.Information.Tips. In addition, experts from Bafin provided information to consumers in six webinars, at eight trade fairs as well as at other events.

Bafin's account comparison website

Since mid-January 2025, ↗ Bafin's account comparison website has been providing valuable initial guidance to consumers searching for the right current account. This impartial and free comparison platform covers around 6,700 current and basic payment accounts. It provides interested parties with information, for example, on monthly account maintenance fees, overdraft and credit interest rates as well as whether online banking is available for a particular account.

The quality of information about the accounts is paramount. Payment service providers must ensure that the information is always up to date and accurate. Bafin performs random checks of the details provided. If it finds incorrect information, it instructs the relevant payment service providers to correct it without delay. In 2025, Bafin imposed the first administrative fines for breaching these reporting requirements.

Bafin's international role

In 2025, Bafin continued its work in European and global bodies.

AMLA

Bafin's international role

Find out more about Bafin's responsibilities on the global stage.

The European Anti-Money Laundering Authority ([↗ AMLA](#)) began operations in mid-2025. Its objective is to harmonise EU-wide supervision in the fight against money laundering and terrorist financing. It supervises some of the most high-risk institutions directly and will also support and coordinate Europe's national supervisory authorities.

Bafin is playing an active role in the further development of AMLA and in the implementation of EU rules. In this context, it is guided by the European precept of harmonisation and the principle of proportionality.

BCBS

In 2025, the [↗ BCBS](#) continued to focus – first and foremost – on the timely and consistent implementation of the final Basel III reforms.

The BCBS also revised its 25-year-old principles of credit risk management to bring them into line with the latest version of the Basel framework. This means it has updated redundant and outdated components. In addition, the BCBS published its principles for the sound management of third-party risk, which are aimed at supervisors and banks.

EBA

On 1 October 2025, the [↗ EBA](#) published its work programme, which outlines its key priorities and initiatives for 2026. The EBA will also work closely with relevant stakeholders inside and outside the EU in order to simplify the regulatory and supervisory framework for banks and other financial institutions in the EU and make it more efficient. To this end, the EBA has adopted 21 measures. Bafin contributed towards these efforts.

EIOPA

In 2025, [↗ EIOPA](#) analysed market and liquidity risks, particularly those relating to retail loans and geopolitical tensions. The pension stress test, in which German supervi-

sors took the lead, showed buffers to be robust, although there were also significant liquidity risks from margin calls.

In the area of consumer protection, EIOPA focused on complaints data, digital channels of distribution and AI processes. In addition, EIOPA further harmonised supervision across Europe and exchanged views with Bafin on risk-based supervision, including in the areas of occupational pensions as well as processes for POG and market conduct.

ESMA

In 2025, [↗ ESMA](#) conducted 20 public consultations, published 41 final reports and issued 12 guidelines. It focused on the areas of markets (MiFIR), market infrastructures (EMIR), cryptoassets (MiCAR), operational resilience (DORA) and ESG. Bafin contributed to ESMA's publications with its insight into the specific characteristics of the German financial market. Despite new regulatory requirements, ESMA is making efforts to reduce red tape – a move which Bafin expressly welcomes.

ESRB

In 2025, the [↗ ESRB](#) examined the growing market for cryptoassets and published a [↗ report on the systemic risks that cryptoassets pose for the financial system](#). The ESRB identified third-country multi-issuer stablecoin schemes as a particular risk and published a [↗ recommendation](#) in this regard.

FSB

Bafin President Mark Branson advised the [↗ FSB](#) in a high-level working group in order to improve the body's implementation monitoring. An initial [↗ interim report](#) by the group evaluated the implementation of key reforms to date and will serve as the basis for the further development of monitoring in 2026.

Bafin also participated in working groups focusing on non-bank financial intermediaries (NBFIs), digital innovation and operational resilience as well as crisis preparedness and resolution.

IAIS

In 2025, the [↗ IAIS](#) published [↗ high-level principles](#) for the development of the Insurance Capital Standard. It analysed [↗ structural changes in the life insurance sector](#) and announced tighter supervision of alternative investments and cross-border reinsurance. Other IAIS papers dealt with the [↗ supervision of AI](#), [↗ consumer protection](#) and [↗ climate-related risks](#).

IOSCO

In 2025, [↗ IOSCO](#) increased its focus on the risks and opportunities arising from the digitalisation of markets. Together with Bafin, it published a report titled

“ [↗ Tokenization of Financial Assets](#)” examining the current state of tokenisation and distributed ledger technology (DLT) in financial products and services. In addition, [IOSCO](#) reviewed the implementation of its policy recommendations for crypto and digital asset markets for the first time. [Bafin](#) took part in this review. To improve the protection of retail investors at the international level, [Bafin](#) is providing information to support the new global warning portal [↗ I-SCAN](#). The portal informs consumers about on-line scams and financial services being provided without authorisation.

Technical cooperation

In 2025, [Bafin](#) continued its cooperation with the Ukrainian National Securities and Stock Market Commission ([↗ NSSMC](#)) and the National Bank of Ukraine ([↗ NBU](#)).

[Bafin's Insurance Supervision Sector](#) participated in the [EU](#) project “Support to Regulation of Financial Services in Montenegro”.

In addition, [Bafin](#) exchanged views with delegations from various countries, including Morocco, Vietnam, Honduras, the People's Republic of China, South Korea and Indonesia.

Credit institutions, payment and e-money institutions, leasing and factoring institutions, crypto institutions and credit services institutions

A well-functioning banking system is vital for the economy. Efficient banking supervision helps to ensure such functionality.

New bases of supervisory practice

New [Bafin](#) regulation simplifies qualifying holding procedures and certain notifications about persons

[Bafin](#) has published a new [regulation](#) that removes bureaucratic hurdles in the qualifying holding procedure. The new Regulation on Simplifying Qualifying Holding Procedures and Certain Notifications about Persons simplifies various requirements in order to speed up the process. Areas affected include the recognition of foreign certificates of conduct, formal requirements for documents, and the scope of documents to be submitted in certain acquisition situations. The new regulation has been applicable since 25 November 2025.

Proportionality: Bafin circular introduces simplified reporting requirements for newly established institutions

In its circular dated 22 September 2025, Bafin stated that newly established institutions can also qualify as small and non-complex institutions. In order to do so, they must meet all the criteria set out in point (145) of Article 4(1) of the CRR based on their budgeted figures and forecast balance sheets. In such cases, they may qualify for reduced reporting requirements.

Cutting red tape: Bafin publishes new fit and proper circular

In its circular dated 22 October 2025, Bafin combined two guidance notices on members of the management board and of administrative and supervisory bodies and consolidated them into a new, highly streamlined format. The new circular generally applies to all institutions supervised under the German Banking Act (KWG) and, among other aims, implements current European specifications and requirements under the Risk Reduction Act (RiG).

Circular on securitisations

On 15 January 2025, Bafin published a new circular that incorporates the EBA's guidelines on securitisations into its administrative practice. For example, the circular sets out the simple, transparent and standardised criteria for on-balance-sheet securitisations.

Circular on opting to choose credit assessments

On 31 March 2025, Bafin published a circular governing how institutions can opt to choose a credit assessment under Article 495e of the CRR. It allows supervised institutions to continue using credit assessments from ECAs for exposures to other institutions.

DORA: new and simplified requirements

Regulatory requirements for IT are generally covered by the EU's DORA Regulation. DORA has been applicable throughout Europe since 17 January 2025. In order to prevent duplicative regulation, Bafin has abrogated its own IT circulars.

In its supervisory statement dated 21 August 2025, Bafin explained how companies can benefit from the simplified DORA requirements regarding information and

communication technology (ICT) and third-party ICT risk management.

Cutting red tape: Bafin reduces administrative workload for *Pfandbrief* banks

In a supervisory statement issued in December 2025, Bafin announced that *Pfandbrief* banks would no longer be required to submit cover registers from January 2026 onwards. Bafin therefore decided to no longer retain physical copies of the registers, although the relevant provisions of the Act Implementing the Banking Directive and Reducing Bureaucracy (↗ BRUBEG) had yet to be repealed.

Sustainability: Bafin accepts recommendations of no-action letter

On 24 September 2025, Bafin issued a supervisory statement accepting the recommendations of the no-action letter on ESG disclosure requirements that the EBA had published on 6 August 2025. Bafin thus granted a deferral of the obligation to disclose information relating to ESG risks that primarily affected small institutions. Without this supervisory statement, the disclosure standard that had already come into effect would have applied to all institutions from 1 January 2026 onwards. This would have resulted in an excessive burden for small institutions in particular. Large institutions, which have been required to disclose defined ESG information since 2022, were only granted minor relief by the supervisory statement. The relevant changes mostly reflect developments arising from the Omnibus Package.

Cooperative banks: general administrative act on Common Equity Tier 1 instruments

Bafin has issued a new general administrative act on cooperative banks. It regulates the extent to which newly issued shares in such institutions can, with Bafin's authorisation, be classified as Common Equity Tier 1 instruments. In the version in force since 1 January 2025, Bafin also stipulates the conditions under which the repayment of share capital in connection with the termination of cooperative shares is permitted.

Bausparkassen: further development of the collective management report

In January 2025, Bafin published its General Administrative Act on the Collective Management Report of *Bausparkassen*. This provides *Bausparkassen* with a specific

scenario to use in their collective management reports. In September 2025, these institutions submitted their reports in the new format for the first time.

Cutting red tape: Bundesbank and Bafin propose eliminating the reporting of large exposures and loans exceeding €1 million

On 25 August 2025, the Deutsche Bundesbank and Bafin proposed eliminating the reporting of large exposures and loans exceeding €1 million for banks and insurers as of 30 December 2026. The Federal Ministry of Finance had previously published the necessary statutory amendments in the draft of the Location Promotion Act (StoFöG).

Key figures at a glance



Table 1: Credit institutions in 2025 and 2024

	Total assets (€ billion)		Return on equity (%)		LCR (%)		CET 1 ratio (%)	
	2025	2024	2025	2024	2025	2024	2025	2024
All banks	9,478	9,341	5.7	4.5	171	166	17.4	17.5
SlS	5,862	5,683	6.7	6.4	157	150	17.3	17.1
LSIs	3,146	3,177	5.0	2.8	195	191	16.7	17.0
LSIs: savings banks	1,462	1,428	4.9	1.5	197	197	16.7	17.0
LSIs: cooperatives	1,152	1,119	4.3	1.9	174	177	16.0	16.3
Source: Supervisory reporting, own calculations by the Deutsche Bundesbank and Bafin.								



Table 2: Institutions under German supervision in 2025

Credit institutions			1,252
of which	CRR credit institutions**		1,141
		do which SIs***	50
		of which LSIs***	1,089
	other credit institutions***		41
		of which development banks ⁺	16
	housing enterprises with savings schemes ⁺		46
	third-country branches ⁺		24
Payment institutions and e-money institutions ⁺			82
Investment institutions ⁺⁺			682
Financial services institutions****			372
of which	finance leasing and factoring institutions ⁺		339
Credit services institutions ⁺			27
Institutions supervised by Bafin			2,415

* Two of these CRR credit institutions were neither SIs nor LSIs. CRR stands for the European Capital Requirements Regulation.

** Three of these credit institutions provide financial market infrastructures and are therefore supervised by Bafin's Securities Supervision units.

*** Including KfW. Two of these credit institutions are supervised by Bafin's Securities Supervision units.

**** Including finance leasing and factoring institutions, crypto custodians, cryptoasset service providers, crypto securities registrars and other institutions.

+ Supervised by Bafin's Banking Supervision units.

++ Supervised by Bafin's Securities Supervision/Asset Management units.

+++ Supervised by the ECB.

Source: Bafin

Developments across the industry

Private, regional and specialist banks —

Banks in the private, regional and specialist banking sectors have a diverse range of business models, which Bafin's risk-based supervision takes into account. However, one thing is vital for the success of all institutions: their internal governance structures must comprise bodies that act responsibly, especially in economically challenging times. That is why Bafin has intervened at a number of private banks in response to the highly unequal weighting of votes on audit committees. These committees monitor, for example, the financial reporting process, the effectiveness of the risk management system and the quality of audits of the financial statements. Bafin also focused on banks with a high proportion of non-performing loans, especially in the construction sector. Due to the weak position of the commercial property market, these institutions were particularly exposed in 2025.

Savings banks —

Overall, savings banks can look back on a successful financial year. In 2025, they achieved net interest income on a par with the previous year and recorded a significant increase in net commission income compared to 2024. In addition, they continued building up substantial unallocated contingency reserves, although the increases were not as large as in 2024. Due the ongoing weakness of German

economic performance, there was an increase in the proportion of non-performing loans in savings banks' overall loan portfolio in 2025 – although the level remained comparatively low. Overall, Bafin believes that this development does not yet pose a threat.

The German Savings Banks Association (*Deutscher Sparkassen- und Giroverband*) took the lead in the development of a cooperation model between savings banks and DekaBank for providing cryptoasset services. Customers of participating savings banks can use an app to access DekaBank's range of cryptoasset products. In 2025, the savings banks consulted closely with Bafin regarding this model. Bafin will be monitoring how customers of the savings banks use these services.

Cooperative banks

Although the economic situation was difficult, cooperative banks had a sound year. They experienced a turnaround and return to growth in customer receivables compared to the relatively weak development of previous years, particularly in the financing of private residential construction. The situation remained challenging in the commercial property sector due to unfavourable economic conditions, comparatively high interest rates and structural changes.

In 2025, NPL ratios increased compared to the previous year at almost two-thirds of cooperative banks. However, loan defaults remained at a moderate level. Overall, cooperative banks were able to make sufficient allocations to equity and recognise hidden reserves.

In 2025, Bafin worked closely with cooperative sector institutions that faced various crisis situations. Four institutions ran into financial difficulties due to serious shortcomings in their governance. In these cases, excessive risks, particularly in the areas of lending and real estate transactions, were coupled with inadequate control mechanisms.

Six pilot banks, together with DZ Bank, completed a MiCAR notification procedure at the end of 2025 so that they can offer cryptoasset trading to their customers. Bafin expects that more cooperative banks will submit MiCAR notifications in future.

Bausparkassen

In 2025, Bafin's supervision of *Bausparkassen* focused, among other areas, on issues relating to the interpretation of CRR 3. Bafin observed such issues during asset quality reviews at two institutions, which have been under the direct supervision of the ECB since 2024 and 2025 respectively. Supervisors and industry representatives

also discussed best-practice approaches to interest rate risk at *Bausparkassen*. Bafin also pushed ahead with the digitalisation of more notifications and submissions that institutions must provide to Bafin, such as allocation notifications.

Pfandbrief business

Bafin issued one new authorisation for *Pfandbrief* business. However, due to the merger of two institutions, the number of *Pfandbrief* banks remained constant at 83. By the end of the year, the volume of outstanding *Pfandbriefe* had risen to around €396 billion (2024: €389 billion). Bafin is tangibly reducing bureaucracy by eliminating the requirement to submit entries made in the cover register every six months from January 2026.

Payment institutions and crypto service providers

2025 was the first full year in which MiCAR was applicable in its entirety. Bafin received the first application for the authorisation of an asset-referenced token in Germany and Europe under the transitional provision set out in Article 143(4) of MiCAR; however, it did not grant this authorisation and prohibited any further distribution of the token.

In 2025, Bafin granted the first German authorisation for the issuance of an e-money token.

Eight institutions that were already operating as crypto custodians in Germany under the German Banking Act received authorisation from Bafin as cryptoasset service providers under MiCAR. Bafin actively assisted the orderly resolution of four crypto custodians. For the first time, Bafin appointed a special representative in order to restore proper business organisation at a crypto custodian.

Finance leasing and factoring institutions

In 2025, Bafin's supervision of finance leasing and factoring institutions focused, among other areas, on their governance. Under the new statutory requirements of the German Crowdfunding Accompanying Act (SchwFinBG), institutions must have at least two management board members.

Bafin revoked an authorisation in the case of one institution. In addition, Bafin implemented measures to improve compliance with deadlines for submitting annual financial statements and audit reports. It also took information-gathering measures in order to assess residual value risks at finance leasing institutions.

Insurance undertakings and pension funds

469 insurance undertakings, Pensionskassen and Pensionsfonds were supervised by Bafin in 2025. Bafin monitors these insurance undertakings and helps ensure they are worthy of their customers' trust.

New bases of supervisory practice

Entry into force of the Second Act to Strengthen Occupational Pensions —

On 1 January 2026, large parts of the Second Act to Strengthen Occupational Pensions ([↗ BRSg II](#)) came into force. The act aims to boost the uptake of occupational pension schemes and to further develop the social partner model. Among other provisions, this act implements amendments to the German Insurance Supervision Act ([VAG](#)) and the German Occupational Pensions Act ([BetrAVG](#)). Developments of particular importance for *Pensionskassen* include the expansion of permissible claims and the relaxation of the coverage requirements, which, under certain conditions, permit a temporary shortfall in the guarantee assets and thus allow for greater flexibility in investments in these assets.

Entry into force of the Eighth regulation amending regulations pursuant to the Insurance Supervision Act —

On 7 February 2025, the Eighth [↗ regulation](#) amending regulations pursuant to the Insurance Supervision Act (*Achte Verordnung zur Änderung von Verordnungen nach dem Versicherungsaufsichtsgesetz*) came into force. One of the changes made by the Federal Ministry of Finance ([BMF](#)) was an amendment to the German Investment Regulation ([↗ AnlV](#)). The amended opening clause, the increased risk capital quota and the introduction of a separate infrastructure quota provide *Pensionskassen*, small insurance undertakings and funeral expenses funds greater flexibility in how they invest in guarantee assets. In addition, the amendments introduce further options for investing in higher-return assets.

Publication of a new Circular on the Prudent Person Principle —

Bafin published a new [📄 circular](#) summarising its existing administrative practice regarding the prudent person principle (PPP) for insurance undertakings under Solvency II and providing guidance on how to address sustainability risks within the

PPP framework. The section on sustainability sets out Bafin's expectations of insurers in detail. It also contains both basic explanations and numerous examples of proven methods with which insurers can meet the requirements in practice.

Update of the Minimum Requirements under Supervisory Law on the System of Governance of Insurance Undertakings

Bafin has updated its Minimum Requirements under Supervisory Law on the System of Governance of Insurance Undertakings under Solvency II (*Aufsichtsrechtliche Mindestanforderungen an die Geschäftsorganisation von Versicherungsunternehmen unter Solvabilität II*). Circular Circular 9/2025 (VA) was streamlined by removing certain topics, making it more focused on key aspects of business organisation. It provides guidance on managing automated business processes and addresses new topics such as sustainability risks, which have to be given appropriate consideration by various functions within the system of governance.

Revision of the circulars on own funds and provisions

On 11 February 2025, Bafin published two revised circulars. The Solvency Circular (Circular 4/2025 (VA)) takes into account the changes arising from the Seventh ⁷¹ regulation amending regulations pursuant to the Insurance Supervision Act of December 2024. It changes the national reporting system to the XBRL format.

The Circular on the calculation of the minimum contribution reimbursement (Circular 3/2025 (VA)) provides guidance on how the supervisory authority must be informed of the values used to calculate the minimum contribution reimbursement. Bafin has started using two new forms in response to the introduction of the XBRL reporting format.

Amendments to several circulars on fit and proper requirements

On 8 May 2025, Bafin published the new versions of its circulars on the requirements regarding professional qualifications and good repute (fit and proper requirements) for members of the management board, members of administrative or supervisory bodies, and individuals responsible for key functions or who carry out key functions (Circulars 9, 10 and ¹¹ 11/2023 (VA)).

In all three circulars, the requirement to notify the authorities of reappointments has now been removed.

In addition, Bafin amended Circulars 9 and 10/2023 (VA) on 22 October 2025 so that, when insurance undertakings intend to appoint a member of the management board, they must demonstrate to Bafin that each member of the management board has the necessary qualifications and that the management board as a whole

always possesses an appropriate range of qualifications, knowledge and relevant experience. Furthermore, a managing director may only join the administrative or supervisory body after a certain period of time has passed in order to prevent conflicts of interest.

Key figures at a glance



Table 1: Insurance undertakings and pension funds in 2025 and 2024

		Gross premiums written (€ billion)			Investments (€ billion) ²⁾³⁾			Solvency coverage (%)		
	Number of undertakings supervised	2025 ¹⁾	2024	Change year-on-year (%)	2025 ¹⁾	2024*	Change year-on-year (%)	2025 ¹⁾	2024*	Change year-on-year (%)
Life insurers	77	95.5	89.7	6.5	1,218.7	1,231.8	1.1	373.7	292.8	27.6
Property/casualty insurance	193	123.2	115.4	6.8	250.2	225.0	11.2	290.2	276.4	5.0
Private health insurers	43	54.7	50.5	8.3	393.0	372.2	5.6	381.6	396.1	-3.7
Pensions-kassen	122	6.3	6.3	0.0	215.6	211.7	1.8	155.6	150.4	3.5
Pensions-fonds	34	3.7	1.7	117.7	62.9	58.9	6.8	168.8	189.0	10.7
1) Preliminary data based on interim reports and forecasts. 2) Carrying amounts in accordance with the German Commercial Code (HGB). 3) In the case of life insurers including unit-linked pension business. Source: <u>Bafin</u>										

Developments within insurance classes

Life insurers

In Bafin's assessment, the financial position and risk-bearing capacity of life insurers remained stable in 2025. New business – measured in terms of gross premiums

written – showed a marked increase, reversing its downward trend after two years of decline. A significant contributing factor was new single premium business, which rose to €31.7 billion compared to €24.6 billion and €27.1 billion in the previous two years.

As in previous years, the reference interest rate used to calculate the *Zinszusatzreserve* (additional provision to the premium reserve) was 1.57%. As a result of changes in insurance portfolios, the *Zinszusatzreserve* fell again across the sector – this time by €4 billion. The funds released will benefit policyholders in the form of higher profit participations.

A number of life insurers had already increased their profit participations gradually from 2022 to 2024. In light of geopolitical developments, most life insurers decided not to make any further adjustments to profit participation for 2026, maintaining the level of the previous year.

As in the previous year, all life insurers supervised by Bafin were able to demonstrate sufficient SCR coverage in 2025. Having declined the previous year due to significant capital market fluctuations, SCR coverage recovered steadily in 2025 and remained at a high level.

Private health insurers

The risk-bearing capacity of this insurance class remained robust in 2025. However, private health insurance benefits once again rose at a faster rate than the medium-term average.

As a result, the premium adjustments required according to the standard adjustment mechanism were high in some cases. Bafin's annual sector analysis showed that, in private comprehensive health insurance, roughly 81% of policyholders of at least one core plan have been affected by premium adjustments for 2026 in the case of at least one such plan. The adjustments equated to an increase of 12.6% on average. However, some insured persons also saw their premiums fall. Health insurers used an aggregate total of roughly €2.3 billion of their provisions for bonuses to limit increases in premiums.

Property and casualty insurers

The 2025 financial year for property and casualty insurers was characterised by an inflation rate that was slightly above the long-term average. Although claims inflation, a key factor for these insurers, fell, it remained at a high level.

Claims inflation was particularly significant in motor vehicle insurance (motor vehicle third-party liability insurance and other motor vehicle insurance), where it has remained high while exhibiting a downward trajectory. In 2025, this figure remained above the inflation rate as measured by the Harmonised Index of

Consumer Prices (HICP). This line of business is also responsible for a substantial proportion of total premium volumes in property and casualty insurance. In 2025, average premiums in this segment continued to rise, in some cases significantly. Combined with lower costs arising from natural disasters, this contributed to an overall improvement in results in 2025.

Preliminary figures show that profitability across the overall insurance market improved in 2025 compared to the previous year: the net combined ratio, which measures the ratio of claims expenditure to premium income, fell slightly in comparison to the previous year.

The SCR coverage has increased slightly compared to 2024.

Reinsurance undertakings

Renewals in 2025 were influenced by the stabilisation of the global reinsurance market.

At the start of the year, the market remained stable across many segments, especially the property catastrophe reinsurance segment. The level of available reinsurance capacity increased significantly over the course of the year, due in part to additional capital inflows. This intensified competition among reinsurers. In some business segments, prices stabilised or fell by between 10% and 20%, particularly in the case of policies without claims.

Overall, price levels remained elevated by historical standards, although there were simultaneously indications that the market was easing.

The establishment of two new reinsurance undertakings began in 2025. At the end of the year, a further authorisation procedure was initiated in relation to relocation of an undertaking's registered office from Luxembourg to Germany.

Over the course of the year, SCR coverage among German reinsurers increased slightly, rising from 282.9% in the fourth quarter of 2024 to 289.6% in the fourth quarter of 2025. At the same time, the net combined ratio of the largest German reinsurers fell moderately from 99.3% to 97.2% in 2025.

In 2025, alternative forms of risk transfer, such as catastrophe bonds (CAT bonds) and insurance-linked securities (ILS), continued to gain significance worldwide. Alternative capital rose by 4.8% to US\$118 billion in the first half of 2025. Macroeconomic conditions in 2025 and challenging rounds of renewals have strengthened the market for alternative reinsurance capacity. Primary insurers and reinsurers are increasingly using this alternative capacity to complement traditional reinsurance and retrocession.

The CAT bond and ILS markets continued to grow rapidly in 2025, reaching record levels. The issue volume of catastrophe bonds amounted to US\$25.6 billion,

significantly higher than the previous year's figure (approximately US\$17.2 billion). At the same time, the outstanding market volume rose to around US\$61.3 billion – surpassing the milestone of US\$60 billion for the first time.

Pensionskassen and Pensionsfonds

Pensionskassen

Pensionskassen were particularly affected by difficulties arising from many years of low interest rates. Increases in interest rates have since eased the pressure on them. The situation improved further for them in 2025. Forecast calculations showed that only a very small number of undertakings had difficulty meeting their solvency requirements. However, there were indications that individual *Pensionskassen* might need financial support in the event of adverse developments on the capital markets.

Pensionsfonds

All of the *Pensionsfonds* were able to bear the economic impact of the four scenarios in Bafin's projection exercise as at the 30 September 2025 reference date. In the insurance-based business, where the *Pensionsfonds* themselves bear the risk of meeting their obligations, the interest rate rise resulted in hidden liabilities. According to the projection, all of the 34 *Pensionsfonds* supervised by Bafin had sufficient own funds for the 2025 financial year and the four subsequent financial years. The level of own funds required by supervisory law corresponded to the minimum capital requirement at around two-thirds of the *Pensionsfonds*: €3 million for stock corporations and €2.25 million for mutual *Pensionsfonds*.

Securities trading and asset management

In 2025, Bafin continued to monitor the securities transactions of financial institutions and investment firms as well as the business of German asset managers and their investment funds.

Investment firms and financial market infrastructures

New bases of supervisory practice

Shortening of the settlement cycle to T+1

On 14 October 2025, Regulation (EU) No [2025/2075](#), which amends the Central Securities Depositories Regulation (Regulation (EU) 909/2014 – CSDR), was published in the Official Journal of the European Union. Under the amended requirements, market participants – in particular credit institutions, investment firms, securities trading banks, German asset managers (Kapitalverwaltungsgesellschaften), Pensionsfonds and insurance undertakings – will, from 11 October 2027, have to settle EU securities transactions executed on trading venues no later than on the first business day following the trade date (T+1).

The aim is to align the EU's settlement cycle with that of other major capital markets. Bafin is supporting market participants in their transition to T+1. For example, it has published guidance and several [announcements](#) on its website and has discussed how the implementation of T+1 settlement is progressing with representatives from the Federal Ministry of Finance, industry associations and market participants.

Key figures at a glance



Table 1: Capital market companies in 2025 and 2024¹⁾³⁾

		2025	2024
Supervised investment firms		682	707
	of which: large investment firms ³⁾	1	1
	of which: medium-sized investment firms ⁴⁾	125	117
	of which: small investment firms ⁵⁾	556	589
Branches		44	41
German investment firms that have issued notifications of cross-border activity within the EU		319	354
Tied agents		16,211	17,378
Liable undertakings		139	146
German asset managers with authorisation ²⁾		145	142
Registered German asset managers ²⁾		562	556
Investment funds ²⁾		6,514	6,537
	Assets under management (€ billion)	3,006.2	2,847

	2025	2024
1) The comparability of data across different periods is limited due to the change in the data collection method during the period under review.		
2) “German asset manager” (Kapitalverwaltungsgesellschaft) has only been a defined term since 2013 when the German Investment Act (<u>InvG</u>) expired and section 17 of the German Investment Code (<u>KAGB</u>) came into force.		
3) A large investment firm within the meaning of section 2 (18) of the German Investment Firm Act (<u>WpIG</u>) is an investment firm (i.e. an undertaking that provides investment services, either alone or in combination with ancillary investment services or ancillary services, commercially or on a scale that requires business operations to be organised along commercial lines) that is required by Article 1(2) of Regulation (EU) 2019/2033 or due to an authorisation granted under Article 1(5) of Regulation (EU) 2019/2033 or under section 8 of the Investment Firm Act to apply Regulation (EU) 575/2013.		
4) A medium-sized investment firm within the meaning of section 2 (17) of the Investment Firm Act is an investment firm that does not meet the conditions set out in Article 12(1) of Regulation (EU) 2019/2033.		
5) A small investment firm within the meaning of section 2 (16) of the Investment Firm Act is an investment firm that does not meet the conditions set out in Article 12(1) of Regulation (EU) 2019/2033.		
<i>Source: <u>Bafin</u></i>		

Developments across the industry

Companies that do not conduct banking business but only provide investment services require authorisation to operate as an investment firm. If Bafin has granted such an authorisation, these companies can provide services such as investment advice, investment broking and portfolio management. In 2025, the number of authorisations granted fell slightly, while the number of expansions to the scope of authorisations increased (see Table 2. The number of institutions under supervision fell slightly again in 2025.

In order to further develop its supervisory practices, Bafin exchanged views with representatives of the securities industry on several occasions in 2025. In May of that year, it launched a public consultation on its initial draft of the Minimum Requirements for Risk Management at Investment Firms (*Mindestanforderungen an das Risikomanagement von Wertpapierinstituten*). This circular is aimed at small and medium-sized investment firms. To date, such firms have been required to apply the Minimum Requirements for Risk Management that were written for banking supervision and specify details relating to the provisions of the German Banking Act (KWVG). As these requirements are primarily targeted at credit institutions, it has become necessary

to remove small and medium-sized investment firms entirely from the scope of the MaRisk for banks. Following an assessment of the responses received, Bafin has revised its draft and will make it available for further consultation in 2026 before finalising it.



Table 2: Authorisations in 2025 and 2024

	2025	2024
Authorisations granted	15	19
Expanded authorisations granted	33	18
Authorisations returned	39	32
Source: Bafin		

Authorisation and supervision of companies under the [DLT Pilot Regime](#)

In December 2024, [Bafin](#) granted its first [EU](#)-wide authorisation to operate a trading and settlement system based on distributed ledger technology. The basis for this authorisation was Regulation (EU) 2022/858 ([DLT Pilot Regime](#)), which provides for exemptions for recently established, technologically innovative companies that have [DLT](#)-based business models. As of 31 December 2025, [Bafin](#) was supervising two operators of [DLT](#) market infrastructures – out of a total of six in the [EU](#).

Asset Management

New bases of supervisory practice

[ESMA](#) guidelines on [ESG](#) fund names



The [ESMA](#) Guidelines on funds’ names using [ESG](#) or sustainability-related terms came into force on 21 May 2025. These guidelines require fund managers to implement their sustainable investment strategies by applying minimum investment thresholds as well as exclusions. [Bafin](#) is applying the [guidelines](#) in full without qualification. Whenever a new fund with a reference to sustainability in its name seeks authorisation, [Bafin](#) reviews the fund’s name and thus ensures that uniform criteria are applied consistently throughout the [EU](#). Specifically, an 80% threshold applies to the use of most [ESG](#) or sustainability-related terms such as “environment”, “[ESG](#)”, “impact” or “sustainable”. This means that at least 80% of any such fund’s assets must be used for sustainable investments. These

requirements are supplemented by exclusions under the Paris-Aligned Benchmarks (PABs), as well as additional requirements relating to the terms “transition” and “impact”, which necessitate a clearly quantifiable pathway to transition. Only funds that meet these strict requirements are granted authorisation by Bafin.

Authorisation procedure for AIFs: Bafin consults on guidance notice —

On 9 September 2025, Bafin launched the consultation on the draft version of its revised “Guidance Notice on the authorisation procedure for German AIF asset management companies under Section 22 of the German Investment Code (KAGB)”. The aim of this revision is to speed up the authorisation process for German AIF management companies. The main changes and clarifications relate to the information required to assess the professional qualifications of managing directors. The guidance notice also explains the specific details that have to be taken into consideration in authorisation procedures for German asset managers that are already registered.

Key figures at a glance



Table 3: Open-ended investment funds (individual funds and sub-funds) in 2025 and 2024

	2025		2024	
	Number	Assets (€ billion)	Number	Assets (€ billion)
Retail funds	2,073	773.0	2,066	709.2
Special AIFs	4,441	2,233.2	4,471	2,137.8
Total	6,514	3,006.2	6,537	2,847
Source: <u>Bafin</u>				



Table 4: Fund cash flows in € billion in 2025 and 2024

	2025	2024
Aggregate net cash inflows	90.6	38.7
Aggregate gross cash inflows	327.6	298.3
Gross cash inflows into retail investment funds	133.4	100.4
Gross cash inflows into special AIFs	194.2	196.9
Aggregate cash outflows	237.0	259.6
Source: <u>Bafin</u>		

Developments in asset management

German Fund Risk Limitation Act: close consultation with the fund industry

In 2025, Bafin frequently met with the fund industry to exchange views at various roundtable meetings with the aim of implementing the German Fund Risk Limitation Act (↗ Fondsriskobegrenzungs-gesetz). This law will transpose amendments to the two main EU directives on investment funds (UCITS Directive ↗ 2009/65/EC and AIFM Directive ↗ 2011/61/EU) into German law in 2026. This will entail amendments to the Investment Code, which is relevant to asset management, in relation to, for example, liquidity risk management, supervisory reporting and lending by alternative investment funds. In addition, it will become easier for offerors of closed-ended funds to offer public participation schemes in the renewable energy sector.

Contact Point for Whistleblowers and Market Contact Group

Employees are often the first to notice irregularities at companies and public authorities. In 2025, whistleblowers continued to help uncover violations of the law.

Contact Point for Whistleblowers

Further information

This page contains everything you need to know about Bafin's Contact Point for Whistleblowers.

Whistleblowers provide valuable information for Bafin's supervisory work. Such information is received via Bafin's Contact Point for Whistleblowers. The number of submissions to this division rose significantly in 2025. It received 1,875 submissions in 2025 compared to 1,141 submissions in 2024. This increase may be attributable to an increasing awareness and acceptance of the German Whistleblower Protection Act (HinSchG). Around 28.5% of the reports were made in a professional context.

Of the 1,875 reports received, the Contact Point for Whistleblowers forwarded 1,410 to divisions for operational supervision, who in turn carried out more detailed factual analyses in 834 cases. In 149 of these cases, Bafin went on to take more far-reaching measures at the companies concerned. These measures included requests for information, special inspections and market abuse investigations. 49 submissions were forwarded to other authorities, such as the Federal Office of Justice (BfJ), the Federal Central Tax Office (BZSt) or the relevant local law enforcement agency.

Of the 1,875 reports, the Contact Point for Whistleblowers did not forward 465 internally at Bafin. These included, for example, unfounded complaints or reports on matters outside Bafin's remit.

Market Contact Group

The Market Contact Group (MCG) is a point of contact for persons with particular market expertise who would like to provide Bafin with valuable information for its supervisory activities. The MCG received 212 submissions in 2025 (previous year: 223), mostly on the topics of market manipulation, unauthorised business and identity fraud. 181 of these were forwarded to the relevant Bafin divisions.

Money laundering prevention

The consequences of money laundering and terrorist financing are devastating – making it all the more important that authorities work to prevent such crimes. Bafin played a key role in this effort in 2025.

Bases of supervisory practice

Bafin warns about evasive transactions in supervisory statement —

On 27 March 2025, Bafin issued a supervisory statement highlighting the increased risk of money laundering and terrorist financing arising from evasive transactions. This term refers to transactions or deals that are deliberately designed to circumvent legal, regulatory or contractual requirements. They serve to undermine transparency and controls by obscuring the actual commercial or country-specific background of transactions. This frequently concerns transactions involving Iran. After EU sanctions against Iran were reimposed, Bafin issued a further warning on 29 September 2025 regarding the risks associated with such transactions.

General administrative act: revocation of exemptions under the Money Laundering Act —

On 30 June 2025, Bafin issued a general administrative act revoking previous exemptions from the obligations set out in the German Money Laundering Act (GwG). Under the versions of the law in force until 2008, exemptions were granted to companies that were subject to the requirements of the GwG solely due to a regulated ancillary business activity of minor significance. These were thus typically low-risk cases. With this general administrative act, Bafin is helping to further harmonise anti-money laundering supervision and the fight against terrorist financing in Europe. The revocation will take effect in line with European law in July 2027, when the new EU Anti-Money Laundering Regulation enters into force.

Bafin digitalises reporting process for anti-money laundering officers —

On 13 June 2025, Bafin launched the specialised procedure for online notifications regarding anti-money laundering officers and their deputies via the MVP Portal. Notifications regarding the appointment or dismissal of anti-money laundering officers can now be submitted digitally in a quick and verifiable manner. In the second half of 2025, Bafin already received over 1,500 notifications through this channel.

National and international cooperation

The European AMLA commenced its work in mid-2025 and is expected to be fully operational by early 2028. Bafin is supporting AMLA's establishment by participating in all related working groups.

In 2025, Bafin continued to play a decisive role in shaping international standards for the prevention of money laundering and terrorist financing within the Financial Action

Task Force (FATF) as part of the German delegation. It regularly attended FATF plenary meetings and took part in negotiations on selected topics in several working groups. For example, Bafin contributed to the revision of FATF Recommendation 16 on payment transparency, which was adopted in June 2025. This recommendation requires payment service providers to ensure complete and accurate payer and payee data (“travel rule”) throughout the entire payment chain.

Bafin and the Financial Intelligence Unit (FIU) continued their close cooperation in 2025. On 28 November 2025, they updated the  guidance on suspicious activity reports, which they had jointly published in 2024, and supplemented it with case studies.

In 2025, Bafin also remained actively involved in the Anti-Financial Crime Alliance (AFCA), a German public-private partnership. Together with the Federal Criminal Police Office (BKA), it organised an event on hawala banking and other alternative transfer systems. Experts from Germany and abroad examined various aspects of hawala banking and raised participants’ awareness so that they could identify the structures and networks of the global informal money transfer system more quickly and reliably.

Operation Chargeback took place in early November 2025. Bafin, the FIU, the BKA and the public prosecutor’s office of Koblenz joined forces to take action against global fraud and money laundering networks.

Statistics on account information access procedures

Credit institutions, asset management companies and payment institutions must store certain account master data, make it available to Bafin and update it on a daily basis.

Bafin provides other authorities with information from the account information access file on request. Table 1 shows the number of automated account information access procedures in 2025 and 2024.



Table 1: Automated account information access procedures in 2025 and 2024

Recipient	2025		2024	
	absolute	in %	absolute	in %
Bafin	408	0.07	709	0.15
Tax authorities	18,959	3.28	18,375	3.78
Police authorities	473,526	82.03	392,902	80.90
Public prosecutors	61,287	10.62	54,079	11.13
Customs authorities	22,045	3.82	18,448	3.8
Other	1,014	0.18	1,165	0.24
Gesamt	577,239		485,678	
Source: Bafin				

Resolution

Resolution was among the areas for which Bafin published new bases of supervision in 2025. Bafin also assessed the resolvability of various institutions.

New bases of supervision

Review of crisis management and deposit protection

The 2025 review of crisis management and deposit insurance ( [CMDI](#)) aimed to increase the effectiveness of the European framework for insolvent banks, especially in the case of small and medium-sized institutions. Following the agreement reached between the Council of the European Union and the European Parliament in June, the co-legislators finalised the legal text at technical level before the end of the year.

Insurance Recovery und Resolution Directive

The European IRRD came into force at the start of 2025. It sets out harmonised EU-wide requirements for recovery and resolution plans for primary insurers and reinsurers. In 2025, Bafin worked on the transposition of the legislation into national law. This must be completed in all EU member states by January 2027.

Streamlined circular on the feasibility of a bail-in

In November 2025, Bafin also published a significantly streamlined version of its Circular on Minimum Requirements for Implementing a Bail-in ([↗](#) [MaBail-in](#)).

Resolution planning

In 2025, the SRM celebrated its tenth anniversary.

The SRB has established internal resolution teams for institutions that are classified as significant or operate across borders. Bafin collaborated in 33 such teams in 2025. 17 of these teams were responsible for institutions based in Germany and 16 dealt with institutions based abroad.

In its capacity as a resolution authority, Bafin was responsible for the resolution planning of 1,192 institutions based in Germany in 2025. These included credit institutions, financial market infrastructures and investment firms.

In future, multi-year testing programmes for assessing resolvability will be an area of focus in resolution planning. In 2025, Bafin designed individual programmes for 18 institutions. In the case of significant institutions, this was done in collaboration with the SRB. The programmes cover all resolvability requirements and will be implemented at the institutions in the coming years.

International cooperation

The SRB and/or the national resolution authorities establish resolution colleges to coordinate collaboration between different authorities in the banking union, in the EU and in third countries. In 2025, Bafin participated in 16 such colleges.

The FSB classifies institutions as globally systemically important and establishes CMGs for this purpose. Bafin participated in 16 CMGs in 2025.

Inside Bafin

Bafin recruited new employees in 2025. It also continued to work on its internal sustainability strategy.

Human resources

A total of 3,084 employees worked for Bafin as at 31 December 2025 (see Table 1), of whom 192 were newly recruited during the year. 36 employees were on long-term assignment to international institutions and supervisory authorities.



Table 1: Bafin employees in 2025

Career level	Employees				
	Total	Women	Men	of whom civil servants	of whom public service employees
Higher civil service	1,652	721	931	1,433	219
Higher intermediate civil service	914	415	499	717	197
Intermediate/basic civil service	518	354	164	204	314
Total	3,084	1,490	1,594	2,354	730
of whom in Bonn	2,067	1,005	1,062	1,615	452
of whom in Frankfurt	1,017	485	532	739	278
of whom candidates for the higher intermediate civil service/vocational trainees	47	26	21	20	27
Source: Bafin					

Diversity: offering a wide range of opportunities and harnessing employees’ full potential

Bafin promotes a working environment that embodies openness, mutual respect and appreciation, and views diversity as a strength. In order to deepen and build upon this understanding, Bafin conducted a comprehensive employee survey on the topic of di-

versity. Feedback from employees makes it possible to compare their expectations with reality and demonstrates that Bafin is willing to evolve and actively take the needs of its employees into account.

Right from the recruitment stage, Bafin is placing greater emphasis on diversity in order to attract applicants from an even wider range of backgrounds. Bafin now employs professionals from a variety of academic fields – including not only law, economics and public administration, but also history, geography, psychology and sociology. This diversity enriches Bafin's teams by providing a wide range of perspectives and skills. In addition, the new job-sharing model “Leadership in Tandem” opens up opportunities for managerial staff at various stages of their lives and enables employees to make the most of their potential.

Organisation chart

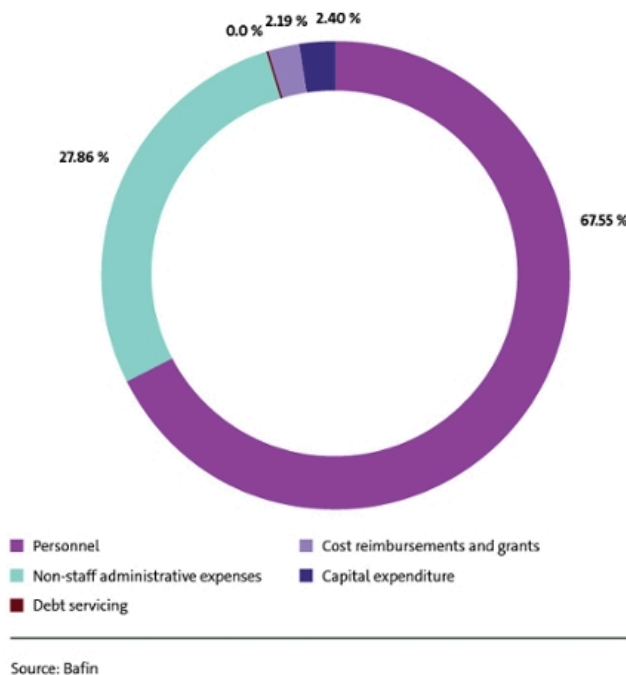
The organisation chart shows the structure and hierarchy of Bafin.

Budget

Bafin's budget for 2025 provided for income and expenditure of €541.2 million. Figure 1 provides a breakdown of how the funds were allocated.

Total planned expenditure was thus €12.3 million higher than in the previous year. This difference was primarily attributable to pay increases in the public sector and slight effects from inflation on the non-staff budget.

Figure 1: Breakdown of planned expenditure for 2025



Financing through cost allocations and fees

Bafin is independent of the federal budget and finances itself in full from its own income. The projected total income primarily consisted of cost allocations levied on supervised institutions in the amount of €520.5 million. Additional income in the amount of €20.7 million was mostly attributable to fees.

Final cost allocation for 2024

Final cost allocations are always made in the following year. Banks and other financial services providers accounted for 47.7% of total income from the cost allocation in 2024. The insurance sector contributed 24.8% and the securities trading sector 19.5%. 5.2% of the total cost allocation was attributable to resolution. Financial reporting enforcement accounted for 2.8%.

Actual expenditure and income

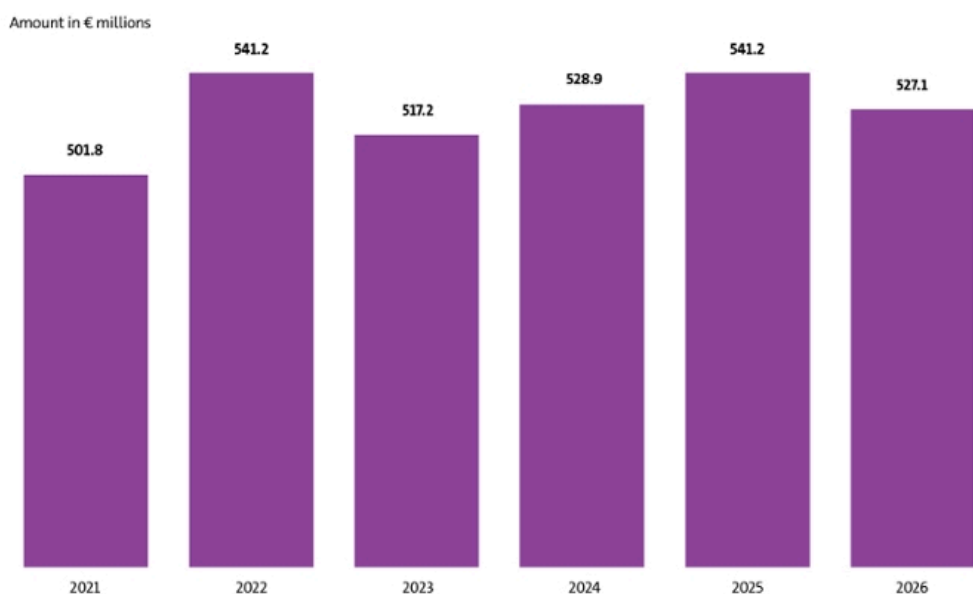
Bafin's actual expenditure in 2025 was approximately €514.7million (previous year: €514.1 million). Bafin thus spent roughly €26.5 million less than had been planned. Among other reasons, this was because funds that had been set aside as a precaution for resolution cases in the banking sector did not need to be used and because the anticipated pay rises to bring salaries into line with the respective official functions performed did not materialise.

Actual income amounted to approximately €540.9 million (previous year: €535 million) and was thus €360,000 below budget. At the time of publication, Bafin's Administrative Council had not yet resolved to adopt the 2025 annual financial statements.

Budget for 2026

The budget for 2026 was prepared and approved in 2025. It provides for income and expenditure of €527.1 million (see Figure 2). Total planned expenditure is thus €14.1 million lower than in the preceding year. This decrease is due to savings arising from the use of federal credit facilities in the event of a resolution in the banking sector as well as the insourcing of IT services that had previously been outsourced.

Figure 2: Budget sizes from 2021 to 2026



Source: Bafin



Sustainability at Bafin

Bafin pursues its own sustainability strategy comprising a total of 77 medium and long-term objectives. Until the end of 2025, Bafin focused on the following areas: premises, mobility, procurement, canteen catering and event organisation. As at 31 December 2025, it had achieved 86% of its 77 targets. A sustainability monitoring system is in place to measure the extent to which these targets are met.

Chronology 2025

An Overview of 2025

January

DORA becomes applicable

Regulatory requirements for IT are generally covered by the EU's DORA Regulation. DORA has been applicable throughout Europe since 17 January. In order to prevent duplicative regulation, Bafin repealed its own IT circulars with effect from the end of 16 January.

Bafin account comparison launched

Bafin's new [comparison platform](#) provides, for the first time, an impartial overview of the costs and features of all current accounts for private individuals in Germany. The website thus helps consumers to make an informed choice about which current account best suits their needs.

February

Ten years of the Single Resolution Mechanism

The Single Resolution Mechanism (SRM) was established in Europe following the financial crisis. As Germany's national resolution authority, Bafin plays an active role here. To mark the tenth anniversary of the SRM, participants at Bafin's resolution conference discussed topics including resolution planning and the SRM's future tasks.

March

Bafin revokes authorisation

Bafin revoked an insurer's authorisation in March following the opening of final insolvency proceedings. The undertaking had notified Bafin of its insolvency at the end of 2024 after its reinsurance cover was terminated at short notice. Bafin promptly imposed a prohibition on new business.

Bafin warning against evasive transactions

Bafin issued a supervisory statement highlighting the increased risk of money laundering and terrorist financing arising from evasive transactions. This term refers to transactions or deals that are deliberately designed to circumvent legal, regulatory or contractual requirements by obscuring the actual commercial or country-specific background. This frequently concerns transactions involving Iran.

April

New Chief Executive Director

On 1 April industrial engineer Nikolas Speer became Executive Director of Banking Supervision at Bafin. With his appointment, Bafin brought in an accomplished expert from the banking sector who possesses in-depth expertise, particularly in risk management. Speer succeeded Raimund Röseler, who chose to retire from Bafin after more than 20 years.

Faster processing at insurers

Following numerous complaints from consumers, Bafin set out its expectations regarding the processing time for claims in a supervisory statement. As a general rule, insurers should process claims within one month and pay out reimbursements without delay.

May

Room for improvement in managing sustainability risks

Bafin's third Sustainable Finance Conference addressed transition issues, EU disclosure requirements under the Sustainable Finance Disclosure Regulation (SFDR), and the handling of physical climate risks. In Bafin's view, financial institutions should be increasingly integrating these risks into their governance and risk management processes. A study by Bafin found that although many companies in the financial sector are addressing the physical risks posed by climate change, there is still room for improvement – especially with regard to risk management.

June

Mystery shopping reveals irregularities

A mystery shopping exercise by Bafin revealed irregularities in the sale of insurance-based investment products by some German insurers as well as in the advice they provided. For instance, those providing advice often failed to request important information or only asked for it in passing. The anticipated returns after costs also often fell short of the mystery shoppers' expectations. The exercise was part of an ↗ EU campaign coordinated by EIOPA.

Bafin's new strategic objectives

In June, Bafin announced its strategic objectives for the years 2026 to 2029. With these objectives, Bafin is committed to a clear vision: a stable and fair financial system that customers can trust.

July

AMLA begins operations

The [↗ European Anti-Money Laundering Authority \(AMLA\)](#) began operations in mid-2025. It aims to harmonise EU-wide supervision in the fight against money laundering and terrorist financing. It will supervise some of the most high-risk institutions directly and will also support and coordinate the national supervisory authorities. Bafin is playing an active role in establishing AMLA and implementing EU rules.

Wiens chairs Digital Finance Steering Committee

EIOPA [appointed](#) Bafin Chief Executive Director Julia Wiens as Chair of its Digital Finance Steering Committee. The Committee ensures consistency in the standards national supervisors apply when supervising digital innovations in the European insurance sector. It monitors the implementation of the European AI Act in the insurance sector. Under the AI Act, it is expected that Bafin will be responsible for supervising certain high-risk AI systems.

August

Bafin expects smooth order processing

Bafin clarified its expectations of investment service providers in a [supervisory statement](#). Banks and brokers must ensure that they are capable of accepting orders online without any disruptions – even during periods of high demand. Institutions must minimise the risk of technical issues preventing customers from trading via trading apps and other online applications.

September

Bafin calls for a small bank regime

In a joint [article](#), Bafin President Mark Branson and Bundesbank Executive Board Member Michael Theurer proposed a new supervisory approach for small, regional banks in Germany and Europe that places even greater emphasis on proportionality. The objective: to ease the burden on small banks without compromising security standards. A [conference](#) on proportionality in February marked the start of various initiatives by Bafin aimed at achieving regulation and supervision that is less complex and more risk-oriented.

October

New job portal online

Bafin's accessible and user-friendly [↗ job portal](#) has been open to applicants since 1 October, making the recruitment process more efficient and modern. Applicants obtain feedback more quickly and can subscribe to receive regular updates on new vacancies in a specific career level or field.

Turbo certificates: Bafin intervenes

With its product intervention measure for turbo certificates, Bafin is strengthening investor protection in the trading of these highly speculative leveraged products. It had previously carried out a market survey on these products. Retail investors must be made fully aware of the specific risks associated with these certificates, which around 75% of investors lose money on. The measure comes into force in June 2026.

November

Operation Chargeback

Bafin, the FIU, the German Federal Criminal Police Office (BKA) and the public prosecutor's office of Koblenz joined forces to take action against global fraud and money laundering networks. In the internationally coordinated Operation Chargeback, authorities searched more than 60 premises and made 18 arrests in Germany and other countries. The suspected perpetrators are alleged to have misused credit card details belonging to around 4.3 million cardholders from 193 countries.

December

Bafin campus takes shape

On 1 December, Bafin President Mark Branson laid the foundation stone for the next phase of construction on Justus-von-Liebig-Straße in Bonn. Bafin already occupies a property there; its remaining staff in Bonn are due to move into the new building in 2029. Bafin has set high standards for the new office building, aiming for it to achieve DGNB Gold building sustainability certification and meet the KfW 40 energy standard.

Operation Herakles

The cybercrime centre at the public prosecutor's office of Karlsruhe and the state criminal police office of Baden-Württemberg, working in close cooperation with Bafin, significantly disrupted the infrastructure of suspected cybercriminals as part of Operation Herakles. More than 1,400 fraudulent online platforms were taken offline in October, and over 3,500 telephone numbers were disconnected in December.

Editorial deadline: 31 December 2025